# Ascot Bermuda Limited

**Consolidated Audited Financial Statements**

**December 31, 2024 and 2023**

Deloitte Ltd.
Corner House
20 Parliament Street
P.O. Box HM 1556
Hamilton HM FX
Bermuda

Tel: + 1 (441) 292 1500
Fax: + 1 (441) 292 0961
www.deloitte.com

## Independent Auditor's Report

To the Board of Directors and Shareholder of
Ascot Bermuda Limited

### Opinion

We have audited the accompanying consolidated financial statements of Ascot Bermuda Limited and its subsidiaries (the "Company"), which comprise the consolidated balance sheets as of December 31, 2024 and 2023, and the related consolidated statements of income and comprehensive income, changes in shareholder's equity, and cash flows for the years then ended, and the related notes to the consolidated financial statements (collectively referred to as the "consolidated financial statements").

In our opinion, the consolidated financial statements referred to above present fairly, in all material respects, the financial position of the Company as of December 31, 2024 and 2023, and the results of their operations, changes in their shareholder's equity and their cash flows for the years then ended in accordance with accounting principles generally accepted in the United States of America.

### Basis for Opinion

We conducted our audits in accordance with auditing standards generally accepted in the United States of America ("GAAS"). Our responsibilities under those standards are further described in the Auditors' Responsibilities for the Audit of the Consolidated Financial Statements section of our report. We are required to be independent of the Company and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audits. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

### Responsibilities of Management for the Consolidated Financial Statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company's ability to continue as a going concern for a period of one year after the date that the consolidated financial statements were available to be issued.

### Auditor's Responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion.

Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the consolidated financial statements.

Deloitte refers to one or more of Deloitte Touche Tohmatsu Limited ("DTTL"), its global network of member firms, and their related entities (collectively, the "Deloitte organization"). DTTL (also referred to as "Deloitte Global") and each of its member firms and related entities are legally separate and independent entities, which cannot obligate or bind each other in respect of third parties. DTTL and each DTTL member firm and related entity is liable only for its own acts and omissions, and not those of each other. DTTL does not provide services to clients. Please see www.deloitte.com/about to learn more. Deloitte Ltd. is an affiliate of DCB Holding Ltd., a member firm of Deloitte Touche Tohmatsu Limited.

## Independent Auditor's Report (cont'd)

In performing an audit in accordance with GAAS, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the consolidated financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the consolidated financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

## Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the disclosure of short-duration contracts included in Note 7 be presented to supplement the basic financial statements. Such information is the responsibility of management and, although not part of the basic financial statements, is required by the Financial Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Deloitte Ltd.

March 12, 2025

**ASCOT BERMUDA LIMITED**
**CONSOLIDATED BALANCE SHEETS**
**AS OF DECEMBER 31, 2024 AND 2023**
**(Expressed in thousands of U.S. dollars)**

| | 2024 | 2023 |
|---|---|---|
| **ASSETS** | | |
| Fixed maturities, trading, at fair value (amortized cost: 2024 - $3,050,096; 2023 - $4,865,542) | $ 2,944,188 | $ 4,722,142 |
| Fixed maturities, available for sale, at fair value (amortized cost: 2024 - $3,148,997; 2023 - $nil, net of allowance for expected credit losses: 2024 - $nil; 2023 - $nil) | 3,134,099 | — |
| Other investments, at fair value | 402,551 | 260,479 |
| Short term investments, trading, at fair value | 150,359 | 115,053 |
| Total investments | **6,631,197** | **5,097,674** |
| Cash and cash equivalents | 533,331 | 441,996 |
| Restricted cash and cash equivalents | 22,340 | 107,318 |
| Accrued investment income | 52,978 | 37,156 |
| Premiums receivable (net of allowance for expected credit losses: 2024 - $11,207; 2023 - $7,423) | 1,457,180 | 1,209,199 |
| Deferred tax assets, net of valuation allowance | 122,262 | 116,612 |
| Prepaid reinsurance premiums | 549,857 | 427,471 |
| Reinsurance recoverable on paid losses | 71,324 | 88,566 |
| Reinsurance recoverable on unpaid losses (net of allowance for expected credit losses: 2024 - $4,195; 2023 - $2,033) | 1,588,921 | 1,337,575 |
| Deferred policy acquisition costs | 444,157 | 344,641 |
| Goodwill | 69,551 | 69,551 |
| Intangible assets | 151,624 | 158,245 |
| Other assets | 130,418 | 121,167 |
| **TOTAL ASSETS** | **11,825,140** | **9,557,171** |
| **LIABILITIES** | | |
| Reserve for loss and loss adjustment expenses | 5,906,322 | 4,665,686 |
| Unearned premiums | 2,426,251 | 1,988,629 |
| Insurance and reinsurance balances payable | 486,393 | 300,804 |
| Deferred tax liabilities | 114,107 | 98,653 |
| Amounts payable to affiliates | 25,012 | 33,912 |
| Other liabilities | 195,390 | 241,209 |
| **TOTAL LIABILITIES** | **9,153,475** | **7,328,893** |
| **COMMITMENTS AND CONTINGENCIES** ***(Note 10)*** | | |
| **SHAREHOLDER'S EQUITY** | | |
| Ordinary shares | 1,000 | 120 |
| Additional paid-in capital | 1,940,759 | 1,940,759 |
| Accumulated other comprehensive (loss) income | (18,988) | 2,322 |
| Retained earnings | 748,894 | 285,077 |
| **TOTAL SHAREHOLDER'S EQUITY** | **2,671,665** | **2,228,278** |
| **TOTAL LIABILITIES AND SHAREHOLDER'S EQUITY** | **$ 11,825,140** | **$ 9,557,171** |

*See accompanying notes to the consolidated financial statements.*

**ASCOT BERMUDA LIMITED**
**CONSOLIDATED STATEMENTS OF INCOME**
**FOR THE YEARS ENDED DECEMBER 31, 2024 AND 2023**
**(Expressed in thousands of U.S. dollars)**

| | 2024 | 2023 |
|---|---|---|
| **REVENUES** | | |
| Gross premiums written | $ 4,678,460 | $ 3,843,943 |
| Reinsurance premiums ceded | (1,147,676) | (964,935) |
| Net premiums written | 3,530,784 | 2,879,008 |
| Earned premiums | 4,240,715 | 3,640,883 |
| Earned premiums ceded | (1,025,167) | (927,561) |
| Net premiums earned | 3,215,548 | 2,713,322 |
| Net investment income | 292,514 | 176,794 |
| Net realized (losses) gains on investments | (33,234) | (24,205) |
| Net unrealized gains (losses) on investments | 37,531 | 145,757 |
| Net gain on divestitures | 96,608 | — |
| Other income | 23,552 | 23,523 |
| **TOTAL REVENUES** | **3,632,519** | **3,035,191** |
| | | |
| **LOSSES AND EXPENSES** | | |
| Net incurred losses and loss adjustment expenses | 1,929,315 | 1,551,913 |
| Acquisition costs | 775,642 | 646,826 |
| General and administrative expenses | 379,911 | 356,904 |
| Amortization of intangible assets | 6,621 | 7,050 |
| Net foreign exchange losses (gains) | 3,508 | (4,487) |
| **TOTAL LOSSES AND EXPENSES** | **3,094,997** | **2,558,206** |
| | | |
| **INCOME BEFORE TAXES** | **537,522** | **476,985** |
| Income tax (expense) benefit | (73,705) | 20,474 |
| **NET INCOME** | **$ 463,817** | **$ 497,459** |

*See accompanying notes to the consolidated financial statements.*

**ASCOT BERMUDA LIMITED**
**CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME**
**FOR THE YEARS ENDED DECEMBER 31, 2024 AND 2023**
**(Expressed in thousands of U.S. dollars)**

| | 2024 | 2023 |
|---|---|---|
| **NET INCOME** | **$ 463,817** | **$ 497,459** |
| **OTHER COMPREHENSIVE INCOME (LOSS), NET OF TAX:** | | |
| Available for sale investments: | | |
| Unrealized losses on fixed maturity available for sale investments arising during the year | (24,919) | — |
| Reclassification adjustment of net realized gains recognized in net income (loss) | (443) | — |
| Tax benefit on unrealized losses on available for sale investments | 4,405 | — |
| Unrealized losses arising during the year, net of reclassification adjustments | (20,957) | — |
| Foreign currency translation adjustment | (353) | 870 |
| **Total other comprehensive (loss) income, net of tax** | **(21,310)** | **870** |
| **TOTAL COMPREHENSIVE INCOME** | **$ 442,507** | **$ 498,329** |

*See accompanying notes to the consolidated financial statements.*

**ASCOT BERMUDA LIMITED**
**CONSOLIDATED STATEMENTS OF CHANGES IN SHAREHOLDER'S EQUITY**
**FOR THE YEARS ENDED DECEMBER 31, 2024 AND 2023**
**(Expressed in thousands of U.S. dollars)**

| | 2024 | 2023 |
|---|---|---|
| **ORDINARY SHARES** | | |
| Balance at beginning of year | $ 120 | $ 120 |
| Ordinary shares issued | 880 | — |
| Balance at end of year | 1,000 | 120 |
| | | |
| **ADDITIONAL PAID IN CAPITAL** | | |
| Balance at beginning of year | 1,940,759 | 1,990,759 |
| Capital distribution to parent | — | (50,000) |
| Balance at end of year | 1,940,759 | 1,940,759 |
| | | |
| **ACCUMULATED OTHER COMPREHENSIVE INCOME** | | |
| Balance at beginning of year | 2,322 | 1,452 |
| Unrealized gains (losses) on available for sale investments, net of tax: | | |
| Balance at beginning of year | — | — |
| Unrealized losses arising during the year, net of reclassification adjustment | (20,957) | — |
| Balance at end of year | (20,957) | — |
| Cumulative foreign currency translation adjustment, net of tax: | | |
| Balance at beginning of year | 2,322 | 1,452 |
| Foreign currency translation adjustment | (353) | 870 |
| Balance at end of year | 1,969 | 2,322 |
| Balance at end of year | (18,988) | 2,322 |
| | | |
| **RETAINED EARNINGS (DEFICIT)** | | |
| Balance at beginning of year | 285,077 | (212,382) |
| Net income | 463,817 | 497,459 |
| Balance at end of year | 748,894 | 285,077 |
| | | |
| **TOTAL SHAREHOLDER'S EQUITY** | $ 2,671,665 | $ 2,228,278 |

*See accompanying notes to the consolidated financial statements.*

**ASCOT BERMUDA LIMITED**
**CONSOLIDATED STATEMENTS OF CASHFLOWS**
**FOR THE YEARS ENDED DECEMBER 31, 2024 AND 2023**
**(Expressed in thousands of U.S. dollars)**

| | 2024 | 2023 |
|---|---|---|
| **CASHFLOWS FROM OPERATING ACTIVITIES** | | |
| Net income (loss) | $ 463,817 | $ 497,459 |
| Adjustments to reconcile net income to net cash provided by operating activities | | |
| Net realized losses on investments | 33,234 | 24,205 |
| Net unrealized gains on investments | (37,531) | (145,757) |
| Change in fair value of other investments | (29,553) | (12,092) |
| Amortization of fixed maturities and short-term investments | (19,702) | (4,462) |
| Amortization of intangible assets | 6,621 | 7,050 |
| Net gain on divestitures | (96,608) | — |
| Other adjustments | 5,486 | 5,732 |
| Changes in: | | |
| Accrued investment income | (15,822) | (16,483) |
| Premiums receivable | (286,224) | (90,501) |
| Reinsurance recoverables | (234,104) | (182,095) |
| Deferred policy acquisition costs | (99,516) | (24,691) |
| Prepaid reinsurance premiums | (122,386) | (37,526) |
| Reserve for loss and loss adjustment expenses | 1,240,636 | 1,052,211 |
| Unearned premiums | 437,622 | 203,212 |
| Insurance and reinsurance balances payable | 185,589 | (7,775) |
| Other items, net | 9,576 | (36,168) |
| **Net cash provided by operating activities** | 1,441,135 | 1,232,319 |
| **CASHFLOWS FROM INVESTING ACTIVITIES** | | |
| Purchases of fixed maturities, trading | (276) | (2,065,034) |
| Purchases of fixed maturities, available for sale | (3,305,710) | — |
| Proceeds from sale of fixed maturities, trading | 1,261,035 | 580,368 |
| Proceeds from sale of fixed maturities, available for sale | 100,116 | — |
| Proceeds from maturities and redemptions of fixed maturities, trading | 518,768 | 314,412 |
| Proceeds from maturities and redemptions of fixed maturities, available for sale | 67,700 | — |
| Purchases of short-term investments | (222,790) | (83,654) |
| Proceeds from sale and maturities of short-term investments | 191,570 | 265,807 |
| Purchases of other investments | (119,755) | (104,260) |
| Proceeds from sale of other investments | 7,236 | — |
| Proceeds from divestitures, net of cash disposed | 71,530 | — |
| **Net cash used in investing activities** | (1,430,576) | (1,092,361) |
| **CASHFLOWS FROM FINANCING ACTIVITIES** | | |
| Distribution of capital to parent | — | (50,000) |
| Issuance of ordinary shares | 880 | — |
| **Net cash provided by (used in) financing activities** | 880 | (50,000) |
| Effect of exchange rate changes on foreign currency cash, cash equivalents and restricted cash | (5,082) | 3,623 |
| Increase in cash, cash equivalents and restricted cash | 6,357 | 93,581 |
| Cash, cash equivalents and restricted cash - beginning of year | 549,314 | 455,733 |
| **Cash, cash equivalents and restricted cash - end of year** | **$ 555,671** | **$ 549,314** |
| **Supplemental disclosures of cash flow information:** | | |
| Income taxes paid | $ 64,661 | $ 12,125 |
| Interest paid | — | — |
| **Reconciliation to Consolidated Balance Sheets:** | | |
| Cash and cash equivalents | $ 533,331 | $ 441,996 |
| Restricted cash and cash equivalents | 22,340 | 107,318 |
| Cash, cash equivalents and restricted cash | $ 555,671 | $ 549,314 |

*See accompanying notes to the consolidated financial statements.*

## 1. History and Principal Operations

Ascot Bermuda Limited ("ABL" or "the Company") (formerly Ascot Reinsurance Company Limited) was incorporated in Bermuda on September 8, 2016. ABL was registered by the Bermuda Monetary Authority ("BMA") on November 20, 2017 as a Class 3B insurance and reinsurance company. The Company commenced underwriting operations in 2018. Effective May 14, 2024, ABL was registered by the BMA as a Class 4 insurance and reinsurance company.

On January 25, 2019, the Company amalgamated with Ascot Holdings Limited, an affiliated company, with the Company continuing as the surviving entity. As a result of this amalgamation, the Company became the direct holding company of Ascot Underwriting Group Limited ("AUGL"). AUGL operates as a holding company for a number of entities, including Ascot Corporate Name Limited ("ACNL"), which is a U.K. based company providing underwriting capacity as the corporate member for Syndicate 1414.

Following the amalgamation, Ascot Group Limited ("AGL"), ABL's parent company, contributed its shareholding in Ascot Insurance Holdings Limited ("AIHL") to the Company, such that the Company is the sole shareholder of AIHL. AIHL operates as a holding company for Ascot Insurance Company ("AIC") and Ascot Specialty Insurance Company ("ASIC"), which write admitted and non-admitted business in the United States. In 2021, AIC acquired AmFed National Insurance Company ("AmFed"), a Mississippi workers' compensation insurance company, and Ascot Surety & Casualty Company ("ASC"), a U.S. Treasury-listed insurance carrier. AIHL was also the holding company for Ethos Specialty Insurance Services LLC ("Ethos Specialty"), a managing general underwriter ("MGU"). During 2024, the Company fully divested its equity interest in Ethos Specialty[1].

## 2. Summary of Significant Accounting Policies

### *Basis of Presentation and Consolidation*

These consolidated financial statements have been prepared in accordance with accounting principles generally accepted in the United States (“U.S. GAAP”) and include the results of operations and the financial position of ABL and its wholly owned subsidiaries. All significant inter-company balances and transactions have been eliminated in consolidation. To facilitate period-to-period comparisons, certain reclassifications have been made to prior year consolidated financial statement amounts to conform to the current year presentation. There was no effect on net income from this change in presentation.

### *Use of Estimates*

The preparation of these consolidated financial statements requires management to make estimates and assumptions that affect the reported amount of assets and liabilities and disclosure of contingent assets and liabilities at the date of the consolidated financial statements and the reported amounts of revenues and expenses during the reporting period. While management believes that the amounts included in the consolidated financial statements reflect its best estimates and assumptions, actual results could differ from those estimates. The Company evaluates these estimates on an ongoing basis. The Company’s principal estimates include, but are not limited to:

- reserve for losses and loss adjustment expenses;
- reinsurance recoverables on unpaid losses, including the allowance for uncollectible amounts;
- gross and net premiums written and earned, including the allowance for uncollectible amounts;
- fair value measurements for financial assets;
- consideration of impairment of goodwill and indefinite life intangible assets; and
- valuation of deferred tax assets.

[1] Refer to *Note 3 - Divestitures* for additional information regarding the disposal of Ethos Specialty.

***Significant Accounting Policies***

*a. Investments, Cash and Cash Equivalents and Restricted Cash*

Fixed maturity securities

The Company's investments in fixed maturity securities classified as trading are carried at fair value, with unrealized gains and losses recorded in net unrealized gains (losses) on investments included in the consolidated statements of income.

As of January 1, 2024, the Company began designating purchases of fixed maturity investments as available-for-sale ("AFS"). Prior to that date, the Company designated all fixed maturity investments as trading.

The Company's investments in fixed maturity securities classified as AFS are carried at fair value, net of an allowance for expected credit losses. The changes in fair value, net of tax, are reported as a separate component of accumulated other comprehensive income ("AOCI") within the consolidated statements of comprehensive income.

Fair values of the Company's fixed maturity securities are based on quoted market prices or, when such prices are not available, by reference to broker quotes and/or internal pricing valuation techniques. Investment transactions are recorded on a trade date basis with balances pending settlement recorded as receivable for securities sold within other assets or payable for securities purchased within other liabilities.

For mortgage-backed and other asset-backed debt securities, fair value includes estimates regarding prepayment assumptions, which are based on current market conditions. Amortized cost in relation to these securities is calculated using a constant effective yield based on anticipated prepayments and estimated economic lives of the securities. When actual prepayments differ significantly from anticipated prepayments, the effective yield is recalculated to reflect actual payments to date. Changes in estimated yield are recorded on a retrospective basis, which results in future cash flows being used to determine current book value.

Realized gains and losses on sales of fixed maturity securities, trading and AFS, are determined based on the specific identification method and are recorded in net realized gains (losses) on investments included in the consolidated statements of income.

*Credit Losses - Fixed Maturity Investments, AFS*

A fixed maturity, AFS security is impaired if the fair value of the investment is below amortized cost. On a quarterly basis, the Company evaluates all fixed maturity, AFS securities for impairment losses.

If a fixed maturity, AFS security is impaired and the Company intends to sell the security or it is more likely than not that the Company will be required to sell the security before its anticipated recovery, the full amount of the impairment loss is charged to net realized gains (losses) on investments included in the consolidated statements of income.

In instances where the Company intends to hold the impaired fixed maturity, AFS security the Company determines whether the decline in fair value below the amortized cost basis has resulted from a credit loss or other factors. If the Company does not anticipate to fully recover the amortized cost, an allowance for expected credit losses is established. The allowance for expected credit losses is limited to the difference between a security's amortized cost basis and its fair value. The allowance for expected credit losses is charged to net realized gains (losses) on investments included in the consolidated statements of income.

On a quarterly basis, the Company assesses whether unrealized losses on fixed maturities, AFS represent credit impairments by considering the following factors:

a. the extent to which the fair value is less than amortized cost;

b. adverse conditions related to the security, industry, or geographical area;

c. downgrades in the security's credit rating by a credit rating agency; and

d. failure of the issuer to make scheduled principal or interest payments.

If a security is assessed to be credit impaired, it is subject to a discounted cash flow analysis by comparing the present value of expected future cash flows with the amortized cost basis. If the present value of expected cash flows is less than the amortized cost, a credit loss exists and an allowance for expected credit losses is recognized. If the present value of expected future cash flows is equal to or greater than the amortized cost basis, an expected credit loss does not exist. The non-credit impairment amount of the loss (i.e., related to interest rates, market conditions, etc.) is recognized in other comprehensive income.

The Company reports accrued interest receivable related to fixed maturity, AFS securities within accrued investment income included in consolidated balance sheets, and has elected not to measure an allowance for expected credit losses for accrued interest receivable. Write-offs of accrued interest receivable balances are recognized in net realized gains (losses) on investments in the period in which they are deemed uncollectible.

Other investments

The Company's other investments principally include investments in senior secured credit funds, hedge funds and private debt funds and private equity funds (together, "other investments"). The Company's other investments are recorded at fair value with changes in fair value and any interest, dividend income and income distributions included in net investment income. The fair value of the Company’s other investments are generally measured using net asset valuations as a practical expedient. The net asset valuations are established by the managers of such investments in accordance with the governing documents of such investments. For certain of the Company's other investments, the Company records the net asset value using a lag methodology of one to three months when timely information is not available.

Short-term investments

Short-term investments primarily comprise highly-liquid debt securities with maturities greater than three months but less than one year from the date of purchase. These investments are carried at amortized cost, which approximates fair value due to the short-term, liquid nature of these securities.

Net investment income

Net investment income includes interest income on fixed maturity securities, short-term investments and cash and cash equivalents, recorded when earned and the amortization of premiums and discounts on investments. The amortization of premium and accretion of discount is computed using the effective interest rate method. Net investment income also includes the change in fair value and any interest, dividend income and income distributions from the Company's other investments. Net investment income is recorded net of investment expenses.

Cash, Cash Equivalents and Restricted Cash

Cash equivalents include money-market funds and fixed interest deposits with a maturity of less than three months when purchased. Cash and cash equivalents are recorded at amortized cost, which approximates fair value due to the short-term, liquid nature of these securities.

Restricted cash typically relates to funds held in trust supporting a portion of the Lloyd's capital requirements and other underwriting obligations.

*b. Premiums*

Direct and Assumed Premiums

Direct insurance and assumed facultative reinsurance premiums are recognized as earned on a pro rata basis over the applicable policy or contract periods. For assumed treaty reinsurance written on a "losses occurring" basis, premiums written are earned on a pro rata basis over the risk period. For assumed treaty reinsurance written on a "risks attaching" basis, premiums written are earned on a pro rata basis over the periods of the underlying policies. Premiums written may include estimates based on information received from brokers, ceding insurers and insureds, and any subsequent differences from such estimates are recorded in the period in which they are determined.

Reinstatement premiums are recognized and, if obligatory, fully earned at the time a loss event occurs, where the coverage limits for the remaining life of the contract are reinstated under pre-defined contract terms.

Unearned premiums represent the portion of the premiums written which relate to the unexpired term under contracts in force.

Insurance and reinsurance premium receivable balances are reviewed for impairment at least quarterly and are presented net of an allowance for expected credit losses. The allowance for expected credit losses is estimated based on the Company's ongoing review and monitoring of amounts outstanding, historical loss data, including write-offs, and other relevant factors, including economic conditions. The allowance for expected credit losses is recorded in general and administrative expenses and write-offs of premium receivable balances in the period it is deemed necessary.

Ceded Premiums

The accounting for reinsurance ceded depends on the method of reinsurance. If the policy is on a "losses occurring" basis, reinsurance premiums ceded and associated commissions are expensed on a pro rata basis over the period reinsurance coverage is provided. If the policy is on a "risks attaching" basis, reinsurance premiums ceded and associated commissions are expensed in line with gross premiums earned to which the "risks attaching" policy relates.

Prepaid reinsurance premiums represent the portion of premiums ceded on the unexpired terms of the policies purchased. Reinsurance commissions that will be earned in the future are deferred and recorded as deferred acquisition costs on the balance sheets.

*c. Reinsurance Recoverable on Paid and Unpaid Losses*

In the normal course of business, the Company purchases reinsurance protection to limit its ultimate losses and to reduce its loss aggregation risk.

Reinsurance recoverable related to case reserves is estimated on a case-by-case basis by applying the terms of any applicable reinsurance coverage to individual case reserve estimates. The estimate of reinsurance recoverable related to incurred but not reported ("IBNR") reserves is generally developed as part of the loss reserving process.

Amounts recoverable from reinsurers are estimated in a manner consistent with the claim liability with the reinsured. The Company evaluates the financial condition of its reinsurers and retrocessionaires, and monitors concentration of credit risk to minimize its exposure to significant losses from individual reinsurers. To further reduce credit exposure on reinsurance recoverables, the Company receives collateral, including letters of credit and trust accounts, from certain reinsurers. An allowance is established for expected credit losses to be recognized over the life of the reinsurance recoverable. The allowance considers the current financial strength of the individual reinsurer and the amount of collateral held. Reinsurance recoverable is presented net of the allowance for expected credit losses.

*d. Goodwill and Intangible Assets*

The Company recognized goodwill and other intangible assets in connection with certain acquisitions. Goodwill represents the excess of the purchase price paid over the fair value of the net assets acquired in these acquisitions and is not amortized. The Company classifies its intangible assets into two categories: (1) intangible assets with finite lives subject to amortization over the estimated useful live of the intangible asset and (2) intangible assets with indefinite lives not subject to amortization. Intangible assets, other than goodwill, generally consist of customer relationships, distribution channels, syndicate capacity, value of business acquired ("VOBA") and insurance licenses.

Intangible assets with definite lives are reviewed for impairment when events or circumstances indicate that their carrying value may not be recoverable. Goodwill and indefinite-lived intangible assets are tested for impairment annually, or when events or changes in circumstances indicate that their carrying amount may not be recoverable. Such events or circumstances may include an economic downturn in a geographic market or a change in the assessment of future operations.

The Company has the option to first assess qualitative factors to determine whether it is necessary to perform the quantitative goodwill and other intangible asset impairment test. Under this option, the Company would not be required to calculate the fair value of a reporting unit unless the Company determines, based on its qualitative assessment, that it is more likely than not that a reporting unit's fair value is less than its carrying amount. If goodwill or other intangible assets are impaired, they are written down to their estimated fair value with a corresponding expense reflected in the consolidated statements of income.

*e. Other Income*

The Company earns commissions paid by insurance carriers for the binding of insurance coverage. Commissions are earned at a point in time upon the effective date of bound insurance coverage, as no performance obligation exists after coverage is bound. If there are other services within the contract, the Company estimates the stand-alone selling price for each separate performance obligation, and the corresponding apportioned revenue is recognized over a period of time as the performance obligations are fulfilled. The Company earns other fee revenue from providing services other than securing insurance coverage. Fee revenues from these agreements are recognized depending on when the services within the contract are satisfied and when control of the related services has been transferred to the customer. Profit-sharing commissions represent a form of variable consideration associated with the placement of coverage, for which the Company earns commissions. Profit-sharing commissions are estimated such that a significant reversal of revenue is not probable.

The commission income and other fee revenue are recognized in other income in the consolidated statements of income.

*f. Acquisition Costs*

Acquisition costs are costs that vary with, and are directly related to, the successful acquisition of new or renewal business, and consist principally of commissions and brokerage expenses. These costs are deferred and amortized over the periods in which the related premiums are earned. Acquisition costs are shown net of commissions on reinsurance ceded in the consolidated statements of income.

Acquisition costs also include profit commissions associated with insurance and reinsurance contracts written by the Company. Profit commissions are recognized when earned.

The amortization of deferred acquisition costs for the years ended December 31, 2024 and 2023 was $768,232 and $636,663, respectively.

Deferred acquisition costs are limited to their estimated realizable value based on the related unearned premiums. Anticipated loss and loss adjustment expenses based on historical and current experience and anticipated investment income related to those premiums are considered in determining the recoverability of deferred acquisition costs. A premium deficiency is recognized if the sum of the expected net incurred loss and loss

adjustment expenses and unamortized acquisition costs exceed unearned premiums and anticipated investment income. A premium deficiency reserve (“PDR”) is recorded by charging any unamortized acquisition costs to the consolidated statements of income, to the extent required in order to eliminate the deficiency. If the premium deficiency exceeds unamortized acquisition costs, a liability is accrued for the excess deficiency. As of December 31, 2024 and 2023, the Company did not record a PDR, as no premium deficiencies were identified.

*g. General and Administrative Expenses*

General and administrative expenses primarily consist of compensation costs for the Company’s employees, costs associated with information technology, legal and professional expenses and regulatory costs.

*h. Losses and Loss Adjustment Expenses*

Reserve for losses and loss adjustment expenses represents an estimate of the unpaid portion of the ultimate liability for losses and loss adjustment expenses for insured and reinsured events that have occurred at or before the balance sheet date. The balance reflects both claims that have been reported ("case reserves") and claims that have been incurred but not yet reported ("IBNR"). These amounts are reduced for estimated amounts of salvage and subrogation recoveries. Loss reserves are not discounted. The effects of inflation, which can be significant, are implicitly considered in the reserving process and are part of the recorded reserve balance.

The Company reviews its reserve for losses and loss adjustment expenses on a quarterly basis. Case reserves are primarily established based on amounts reported from insureds and/or their brokers. Management estimates IBNR after reviewing detailed actuarial analyses and applying informed judgment regarding qualitative factors that may not be fully captured in the actuarial estimates. A variety of actuarial methods are utilized in this process, including the Expected Loss Ratio, Loss Development Method and Bornhuetter-Ferguson methods. The estimate is highly dependent on management’s judgment as to which method(s) are most appropriate for a particular accident year and class of business. Historical claims data is often supplemented with industry benchmarks when applying these methodologies.

Any adjustments to previous reserve for losses and loss adjustment expenses estimates are recognized in the period they are determined. While the Company believes that its reserves for losses and loss adjustment expenses are adequate, this estimate requires significant judgment and new information, events or circumstances may result in ultimate losses that are materially greater or less than provided for in the consolidated balance sheets.

*i. Foreign Exchange*

The Company’s reporting currency is the U.S. dollar. In translating the financial statements of its subsidiaries where the functional currency is other than the U.S. dollar, assets and liabilities are converted into U.S. dollars using the foreign exchange rates in effect at the balance sheet dates and revenues and expenses are converted using the weighted average foreign exchange rates for the period. The effect of translation adjustments is reported as a separate component of accumulated other comprehensive income in shareholders’ equity.

In recording foreign currency transactions, revenue and expense items are converted to the relevant functional currency at the exchange rate prevailing at the transaction date. Monetary assets and liabilities originating in currencies other than the functional currency are remeasured to the functional currency at the rates of exchange in effect at the balance sheet date. The resulting foreign currency gains or losses are recognized in net foreign exchange losses (gains) in the consolidated statements of income.

*j. Income Taxes*

Current and deferred income taxes are charged or credited to net income based upon enacted tax laws and rates applicable in the relevant jurisdiction in the period in which the tax becomes accruable or realizable. Deferred income taxes are provided for all temporary differences between the bases of assets and liabilities used in the consolidated balance sheets and those used in the various jurisdictional tax returns. When the assessment indicates that it is more likely than not that a portion of a deferred tax asset will not be realized in the foreseeable future, a valuation allowance against deferred tax assets is recorded. The Company recognizes the tax benefits of uncertain tax positions only when the position is more likely than not to be sustained upon audit by the relevant taxing authorities.

*k. Variable Interest Entities*

The Company evaluates its other investments to determine whether those investments are variable interest entities (“VIEs”) or voting interest entities (“VOEs”) and whether consolidation is required. A VIE is an entity that either has equity investors that lack certain essential characteristics of a controlling financial interest or lacks sufficient funds to finance its own activities without financial support provided by other entities. The Company considers several significant factors in determining if its investments are VIEs and if it is the primary beneficiary, including whether the Company has (i) the power to direct activities of the VIE, (ii) the ability to remove the decision maker of the VIE, (iii) the ability to participate in making decisions that are significant to the VIE, and (iv) the obligation to absorb losses and the right to receive benefits that could potentially be significant to the VIE. The Company reassesses its initial evaluation of an entity as a VIE upon the occurrence of certain reconsideration events.

The Company has reviewed its other investments and has concluded that they are VIEs, but that the Company is not the primary beneficiary and therefore, consolidation is not required.

*l. Issued Accounting Pronouncements Not Yet Adopted*

ASU 2023-09 - Improvements to Income Tax Disclosures

In December 2023, the FASB issued ASU No. 2023-09, Improvements to Income Tax Disclosures ("ASU 2023-09"). ASU 2023-09 enhances income tax disclosure by, amongst other things, requiring companies to provide qualitative disclosure of the nature and effect of significant reconciling items by specific categories and individual jurisdictions and additional disclosure about income taxes paid. ASU 2023-09 will be effective for public business entities for annual periods beginning after December 15, 2024, and should be applied prospectively, however retrospective application is permitted. The Company is currently evaluating the impact of this guidance.

ASU 2024-03 - Disaggregation of Income Statement Expenses

In November 2024, the FASB issued ASU No. 2024-03, Disaggregation of Income Statement Expenses (“ASU 2024-03”). ASU 2024-03 requires companies to provide additional disclosure about specific expenses by disaggregating, in a tabular presentation, each relevant expense caption on the face of the income statement that includes any of the following natural expenses: (1) purchases of inventory, (2) employee compensation, (3) depreciation, (4) intangible asset amortization and (5) depreciation, depletion and amortization (“DD&A”) recognized as part of oil- and gas-producing activities or other types of depletion expenses. ASU 2024-03 will be effective for public business entities for annual periods beginning after December 15, 2026, and should be applied prospectively, however retrospective application is permitted. The Company is currently evaluating the impact of this guidance.

## 3. Divestitures

***Sale of Ethos P&C Business***

On September 16, 2024, the Company sold the assets and liabilities associated with the Property and Casualty business of Ethos Specialty to Ryan Specialty LLC. Upon closing, the Company received cash consideration totaling $43,975 and recognized a gain on sale, net of expenses, of $39,729, recorded in net gain on divestitures included in the consolidated statements of income.

***Sale of Ethos Specialty and Ethos Canada***

On November 4, 2024, the Company sold its entire equity interest in Ethos Specialty and Ethos Canada Specialty Insurance Services Inc ("Ethos Canada"), including its remaining Transactional Liability business, to BSU Elk Holdings LP and BSU Elk Canada Holdings Inc. Upon closing, the Company received cash consideration totaling $60,500 and recognized a gain on sale, net of expenses and net assets disposed, of $56,879, recorded in net gain on divestitures included in the consolidated statements of income.

## 4. Investments

***Short-term and Fixed Maturity Investments***

*Asset Types*

The amortized cost, gross unrealized gains and losses and fair value of the Company's short-term and fixed maturity investments, classified as trading and AFS, as of December 31, 2024 and 2023 are as follows:

| | 2024 | | | |
|---|---|---|---|---|
| | Amortized Cost | Unrealized gains | Unrealized losses | Fair value |
| U.S. government and government agency securities | $ 85,702 | $ 314 | $ (950) | $ 85,066 |
| Non-U.S. government and government agency securities | 290,807 | 2,854 | (2,116) | 291,545 |
| Municipal securities | 204,509 | 599 | (10,904) | 194,204 |
| Corporate securities | 2,939,902 | 18,525 | (54,184) | 2,904,243 |
| Asset-backed securities | 692,087 | 2,583 | (8,525) | 686,145 |
| Commercial mortgage-backed securities | 196,502 | 852 | (1,913) | 195,441 |
| Residential mortgage-backed securities | 1,789,584 | 3,996 | (71,937) | 1,721,643 |
| Total fixed maturity investments | 6,199,093 | 29,723 | (150,529) | 6,078,287 |
| Short term investments | 150,359 | — | — | 150,359 |
| | $ 6,349,452 | $ 29,723 | $ (150,529) | $ 6,228,646 |

| | 2023 | | | |
|---|---|---|---|---|
| | Amortized Cost | Unrealized gains | Unrealized losses | Fair value |
| U.S. government and government agency securities | $ 213,275 | $ 2,801 | $ (3,266) | $ 212,810 |
| Non-U.S. government and government agency securities | 273,221 | 2,625 | (4,816) | 271,030 |
| Municipal securities | 257,573 | 980 | (16,910) | 241,643 |
| Corporate securities | 2,454,247 | 22,948 | (84,209) | 2,392,986 |
| Asset-backed securities | 504,674 | 255 | (14,711) | 490,218 |
| Commercial mortgage-backed securities | 99,462 | 890 | (3,070) | 97,282 |
| Residential mortgage-backed securities | 1,063,090 | 10,426 | (57,343) | 1,016,173 |
| Total fixed maturity securities | 4,865,542 | 40,925 | (184,325) | 4,722,142 |
| Short term investments | 115,053 | — | — | 115,053 |
| | $ 4,980,595 | $ 40,925 | $ (184,325) | $ 4,837,195 |

*Contractual Maturities*

The contractual maturities of the Company's fixed maturities, classified as trading and AFS, are shown below. Expected maturities may differ from contractual maturities because borrowers may have the right to call or prepay

obligations with or without call or prepayment penalties.

| | 2024 | | |
|---|---|---|---|
| | Amortized cost | Fair value | % of Total Fair Value |
| Due in one year or less | $ 228,619 | $ 226,616 | 3.7 % |
| Due after one year through five years | 2,010,493 | 2,000,601 | 32.9 % |
| Due after five years through ten years | 1,180,569 | 1,152,788 | 19.0 % |
| Due after ten years | 101,239 | 95,053 | 1.6 % |
| Asset-backed securities | 692,087 | 686,145 | 11.3 % |
| Commercial mortgage-backed securities | 196,502 | 195,441 | 3.2 % |
| Residential mortgage-backed securities | 1,789,584 | 1,721,643 | 28.3 % |
| **Total fixed maturity investments** | $ 6,199,093 | $ 6,078,287 | 100.0 % |

***Fixed Maturity Investments, AFS***

As of January 1, 2024, the Company began designating purchases of fixed maturity investments as AFS. Prior to that date, the Company designated all fixed maturity investments as trading.

*Unrealized Gains and Losses on Fixed Maturity Investments, AFS*

The amortized cost, unrealized gains and losses, allowance for credit losses and fair values of the Company's fixed maturity investments classified as AFS were as follows:

| | | | Gross Unrealized Losses | | |
|---|---|---|---|---|---|
| **As of December 31, 2024** | **Amortized Cost** | **Gross Unrealized Gains** | **Non-Credit Related Losses** | **Allowance for Credit Losses** | **Fair value** |
| U.S. government and government agency securities | $ 16,063 | $ 3 | $ (312) | — | $ 15,754 |
| Non-U.S. government and government agency securities | 171,753 | 1,611 | (940) | — | 172,424 |
| Municipal securities | 88,559 | 53 | (1,706) | — | 86,906 |
| Corporate securities | 1,382,256 | 6,137 | (10,296) | — | 1,378,097 |
| Asset-backed securities | 451,130 | 1,899 | (1,436) | — | 451,593 |
| Commercial mortgage-backed securities | 114,513 | 238 | (627) | — | 114,124 |
| Residential mortgage-backed securities | 924,723 | 752 | (10,274) | — | 915,201 |
| | $ 3,148,997 | $ 10,693 | $ (25,591) | $ — | $ 3,134,099 |

*Gross Unrealized Losses on Fixed Maturity Investments, AFS*

As of December 31, 2024, the number of securities classified as AFS in an unrealized loss position for which an allowance for credit loss is not recorded was 2,226. Of those securities, there were no securities that had been in an unrealized loss position for twelve months or longer.

The Company has evaluated its fixed maturity investments, AFS in an unrealized loss position and concluded that the unrealized losses are due primarily to temporary market and sector-related factors rather than to issuer-specific factors. None of these securities are delinquent or in default under financial covenants. Based on the assessment of these issuers, the Company expects them to continue to meet their contractual payment obligations as they become due, and the Company expects to recover the unrealized losses as the related investments approach maturity.

As of December 31, 2024, the Company did not intend to sell the securities in an unrealized loss position and it is more likely than not that the Company will not be required to sell these securities before the anticipated recovery of their amortized costs.

Allowance for Credit Losses on Fixed Maturity Investments, AFS

During the year ended December 31, 2024, the Company did not recognize an allowance for credit losses, and as a result, the Company did not charge any write-offs against the allowance for credit losses or recover amounts previously written off.

***Other Investments***

The following table summarizes the Company's other investments, carried at fair value, as of December 31, 2024 and 2023:

| | 2024 | 2023 |
|---|---|---|
| Hedge funds | $ 167,627 | $ 97,878 |
| Private equity funds | 15,193 | 7,491 |
| Private debt funds | 42,433 | 30,162 |
| Senior secured credit funds | 172,941 | 121,063 |
| Other | 4,357 | 3,885 |
| | $ 402,551 | $ 260,479 |

***Variable Interest Entities***

The Company, through normal investment activities, makes passive investments in limited partnerships and other alternative investments, which represent 98.9% of the Company's other investments as of December 31, 2024 (2023: 98.5%). The investments in limited partnerships include senior secured credit funds, hedge funds, private debt funds and private equity funds, which are variable interests issued by VIEs. For the years ended December 31, 2024 and 2023, the Company has determined it is not the primary beneficiary as it does not have the power to direct the activities that are most significant to the economic performance of these VIEs.

The maximum exposure to loss on these non-consolidated VIEs is limited to the carrying value and unfunded commitments as of December 31, 2024. The Company has not committed to providing financial or other support in excess of previously funded capital commitments and all undistributed profits and income. See *Note 5 - Fair Value Measurement - Measuring Fair Value Using NAV as a Practical Expedient* for a summary of the carrying values and unfunded commitments of our non-consolidated VIEs.

***Net Investment Income***

Net investment income for the years ended December 31, 2024 and 2023 was derived from the following sources:

| | 2024 | 2023 |
|---|---|---|
| Fixed maturity investments | $ 233,363 | $ 133,882 |
| Other investments | 31,382 | 13,292 |
| Short term investments | 4,281 | 4,835 |
| Cash and cash equivalents | 30,442 | 29,160 |
| Total gross investment income | 299,468 | 181,169 |
| Investment expenses | (6,954) | (4,375) |
| **Net investment income** | $ 292,514 | $ 176,794 |

***Net Realized and Unrealized Gains (Losses) on Investments***

Components of net realized and unrealized gains (losses) on investments for the years ended December 31, 2024 and 2023 were as follows:

| | 2024 | 2023 |
|---|---|---|
| **Net realized gains (losses) on investments:** | | |
| Gross realized gains on fixed maturity securities, AFS | $ 1,075 | $ — |
| Gross realized losses on fixed maturity securities, AFS | (632) | — |
| Fixed maturity securities, trading | (36,714) | (24,456) |
| Short-term investments | 3,037 | 251 |
| Total net realized losses on investments | (33,234) | (24,205) |
| **Net unrealized gains (losses) on investments:** | | |
| Fixed maturity securities, trading | 37,531 | 145,757 |
| Total net unrealized gains (losses) on investments | $ 37,531 | $ 145,757 |

The gross realized gains and losses on fixed maturity investments, AFS for the year ended December 31, 2024 included in table above resulted from sales of $100,116.

***Restricted Cash and Investments***

The Company operates in the Lloyd's market through its corporate member, ACNL, which represents the Company's participation in Syndicate 1414. Lloyd's sets capital requirements, or Funds at Lloyd's ("FAL") for corporate members annually through the application of a capital model which is based on the regulatory capital rules pursuant to Solvency II, as further adjusted by Lloyd's. The Company holds cash and investments to satisfy a portion of the FAL requirements. In addition, the Company holds cash and investments to satisfy other Lloyd's requirements including Premium Trust Deeds, Funds in Syndicates and overseas deposits.

The Company also holds cash and investments which are on deposit with U.S. insurance regulators to meet certain statutory requirements and also collateral to support bank credit facilities and certain insurance and reinsurance transactions. In addition, through its Ethos Specialty MGU business, the Company acted as a fiduciary for various insureds and in this role held cash received from premiums and other amounts collected. Following the Company's divestiture of its equity interest in Ethos Specialty during 2024, it not longer holds restricted assets in the form of fiduciary cash as of December 31, 2024[2].

[2] Refer to *Note 3 - Divestitures* for additional information regarding the disposal of Ethos Specialty.

The restricted cash and investments held on the Company's consolidated balance sheet as of December 31, 2024 and 2023 were as follows:

| | December 31, 2024 | | | |
|---|---|---|---|---|
| | Cash and cash equivalents | Short-term investments | Fixed maturities | Other investments |
| Deposited at Lloyd's for FAL | $ 1,216 | $ — | $ 329,381 | $ 172,941 |
| Other Lloyd's and overseas regulatory requirements | 7,746 | 87,233 | 604,183 | — |
| Deposits for U.S. insurance regulators | 1,553 | — | 30,416 | — |
| Collateral pledged for letters of credit | 532 | — | 329,540 | — |
| Collateral pledged for insurance and reinsurance transactions | 11,293 | — | 498,949 | — |
| | $ 22,340 | $ 87,233 | $ 1,792,469 | $ 172,941 |

| | December 31, 2023 | | | |
|---|---|---|---|---|
| | Cash and cash equivalents | Short-term investments | Fixed maturities | Other investments |
| Deposited at Lloyd's for FAL | $ 774 | $ — | $ 403,700 | $ 121,063 |
| Other Lloyd's and overseas regulatory requirements | 8,407 | 84,601 | 811,660 | — |
| Deposits for U.S insurance regulators | 1,097 | — | 28,793 | — |
| Collateral pledged for letters of credit | 57,268 | — | 287,226 | — |
| Collateral pledged for insurance and reinsurance transactions | 8,504 | — | 484,203 | — |
| Fiduciary cash | 31,268 | — | — | — |
| | $ 107,318 | $ 84,601 | $ 2,015,582 | $ 121,063 |

## 5. Fair Value Measurement

***Fair value hierarchy***

Fair value is defined as the price to sell an asset or transfer a liability (i.e. the “exit price”) in an orderly transaction between market participants. U.S. GAAP prescribes a fair value hierarchy that prioritizes the inputs to valuation techniques used to measure fair value. The hierarchy gives the highest priority to quoted prices in active markets and the lowest priority to unobservable data. The level in the hierarchy within which a given fair value measurement falls is determined based on the lowest level input that is significant to the measurement. The hierarchy is broken down into three levels as follows:

- Level 1 - Valuations based on unadjusted quoted prices in active markets for identical assets or liabilities that the Company has the ability to access.
- Level 2 - Valuations based on quoted prices in active markets for similar assets or liabilities, quoted prices for identical assets or liabilities in inactive markets, or for which significant inputs are observable (e.g. interest rates, yield curves, prepayment speeds, default rates, loss severities, etc.) or can be corroborated by observable market data.
- Level 3 - Valuations based on inputs that are unobservable and significant to the overall fair value measurement. The unobservable inputs reflect the Company’s own judgments about assumptions that market participants might use.

The availability of observable inputs can vary from financial instrument to financial instrument and is affected by a wide variety of factors including, for example, the type of financial instrument, whether the financial instrument is new and not yet established in the marketplace, and other characteristics particular to the transaction. To the extent

that valuation is based on models or inputs that are less observable or unobservable in the market, the determination of fair value requires significantly more judgment.

Accordingly, the degree of judgment exercised by management in determining fair value is greatest for instruments categorized in Level 3. In periods of market dislocation, the observability of prices and inputs may be reduced for many instruments. This may lead the Company to change the selection of its valuation technique (from market to cash flow approach) or may cause it to use multiple valuation techniques to estimate the fair value of a financial instrument. This circumstance could cause an instrument to be reclassified between levels within the fair value hierarchy.

***Valuation techniques***

The valuation techniques, including significant inputs and assumptions generally used to determine the fair values of the Company's financial instruments as well as the classification of the fair values of its financial instruments in the fair value hierarchy are described in detail below.

*Fixed maturities*

At each valuation date, the market approach valuation technique is used to estimate the fair value of the Company's fixed maturity securities, when possible. This market approach includes, but is not limited to, prices obtained from third party pricing services for identical or comparable securities and the use of “pricing matrix models” using observable market inputs such as yield curves, credit risks and spreads, measures of volatility, and prepayment speeds. Pricing from third party pricing services is sourced from multiple vendors, when available, and a vendor hierarchy is maintained by security based on historical pricing experience and vendor expertise. When prices are unavailable from pricing services, non-binding quotes are obtained from broker-dealers who are active in the corresponding markets.

U.S. government and government agency securities

U.S. government and agency securities consist primarily of bonds issued by the U.S. Treasury and mortgage pass-through agencies such as the Federal National Mortgage Association ("FNMA"), and the Federal Home Loan Mortgage Corp ("FHLMC"). As the fair values of U.S. Treasury securities are based on unadjusted market prices in active markets, the fair values of these securities are generally classified as Level 1. The fair values of U.S. government agency securities are determined using the spread above the risk-free yield curve. As the yields for the risk-free yield curve and the spreads are observable market inputs, the fair values of U.S. government agency securities are classified as Level 2.

Non-U.S. government and government agency securities

Non-U.S. government securities include bonds issued by non-U.S. governments and their agencies along with supranational organizations (collectively also known as sovereign debt securities). The fair values of these securities are based on prices obtained from international indices or valuation models that include inputs such as interest rate yield curves, cross-currency basis index spreads and country credit spreads for structures similar to the sovereign bond held in terms of issuer, maturity and seniority. As the significant inputs used to price these securities are observable market inputs, the fair values of non-U.S. government securities are generally classified as Level 2.

Municipal securities

Municipal securities comprise revenue and general obligation bonds issued by U.S. domiciled state and municipal entities. The fair values of these securities are determined using spreads obtained from the new issue market, trade prices and broker-dealers quotes. As the significant inputs used to price these securities are observable market inputs, the fair values of municipals are generally classified as Level 2

Corporate securities

Corporate debt securities consist of the debt of a wide variety of corporate issuers and industries. The fair values of these securities are generally determined using the spread above the risk-free yield curve. These spreads are generally obtained from the new issue market, secondary trading and broker-dealer quotes. As the yields for the risk-free yield curve and the spreads are observable market inputs, the fair values of corporate debt securities are generally classified as Level 2. The Company also has a single corporate debt security that is fair valued using a discounted cash flow model prepared by a third party. As one of the significant inputs to the discounted cash flow model is considered unobservable, the security has been classified as Level 3.

Asset-backed securities ("ABS")

ABS include mostly investment-grade bonds backed by pools of loans with a variety of underlying collateral and collateralized loan obligation debt originated by a variety of financial institutions. The fair values of these securities are determined using a model which uses prepayment speeds and spreads sourced primarily from the new issue market. As the significant inputs used to price these securities are observable market inputs, the fair values of ABS are generally classified as Level 2. Where pricing is unavailable from pricing services, non-binding quotes are obtained from broker-dealers to estimate fair value. In this event, the fair values of these securities are classified as Level 3.

Commercial and residential mortgage-backed securities

This category includes commercial and residential mortgages originated by both U.S. government agencies (such as the FNMA) and non-U.S. government agencies. The fair values of mortgage-backed securities originated by U.S. government agencies and non-U.S. government agencies are based on a pricing model that incorporates prepayment speeds and spreads to determine appropriate average life of mortgage-backed securities. The spreads are sourced from broker-dealers, trade prices and the new issue market. As the significant inputs used to price the mortgage-backed securities are observable market inputs, the fair values of these securities are generally classified as Level 2. Where pricing is unavailable from pricing services, non-binding quotes are obtained from broker-dealers to estimate fair value. In this event, the fair values of these securities are classified as Level 3.

*Short-term investments*

Short-term investments primarily comprise highly liquid securities with maturities greater than three months but less than one year from the date of purchase. These securities are generally classified as Level 2 as these securities are not typically actively traded due to their approaching maturity, and, as such, their amortized cost approximates fair value. Certain short-term investments are issued by the U.S. Treasury and are classified as Level 1 as they are based on unadjusted market prices in active markets.

*Other investments*

The Company’s other investments include investments in the equity tranche of a collateralised bond obligation which are recorded at fair value based on model price indications. As the prices are unobservable market inputs, the fair value is classified as Level 3.

The tables below present the financial instruments measured at fair value on a recurring basis as of December 31, 2024 and 2023:

| December 31, 2024 | Quoted Prices in Active Markets for Identical Assets (Level 1) | Significant Other Observable Inputs (Level 2) | Significant Unobservable Inputs (Level 3) | Fair value based on NAV practical expedient | Total |
|---|---|---|---|---|---|
| **Short-term and fixed maturity investments:** | | | | | |
| U.S. government and government agency securities | $ 77,542 | $ 7,524 | $ — | $ — | $ 85,066 |
| Non-U.S. government and government agency securities | — | 291,545 | — | — | 291,545 |
| Municipal securities | — | 194,204 | — | — | 194,204 |
| Corporate securities | — | 2,893,521 | 10,722 | — | 2,904,243 |
| Asset-backed securities | — | 686,145 | — | — | 686,145 |
| Commercial mortgage-backed securities | — | 195,441 | — | — | 195,441 |
| Residential mortgage-backed securities | — | 1,721,643 | — | — | 1,721,643 |
| Total fixed maturity securities | 77,542 | 5,990,023 | 10,722 | — | 6,078,287 |
| Short term investments | 20,339 | 130,020 | — | | 150,359 |
| | 97,881 | 6,120,043 | 10,722 | — | 6,228,646 |
| **Other investments:** | | | | | |
| Hedge funds | — | — | — | 167,627 | 167,627 |
| Private equity funds | — | — | — | 15,193 | 15,193 |
| Private debt funds | — | — | — | 42,433 | 42,433 |
| Senior secured credit funds | — | — | — | 172,941 | 172,941 |
| Other | — | — | 4,357 | — | 4,357 |
| | — | — | 4,357 | 398,194 | 402,551 |
| **Total investments** | $ 97,881 | $ 6,120,043 | $ 15,079 | $ 398,194 | $ 6,631,197 |

| December 31, 2023 | Quoted Prices in Active Markets for Identical Assets (Level 1) | Significant Other Observable Inputs (Level 2) | Significant Unobservable Inputs (Level 3) | Fair value based on NAV practical expedient | Total |
|---|---|---|---|---|---|
| **Short-term and fixed maturity investments:** | | | | | |
| U.S. government and government agency securities | $ 196,395 | $ 16,415 | $ — | $ — | $ 212,810 |
| Non-U.S. government and government agency securities | — | 271,030 | — | — | 271,030 |
| Municipal securities | — | 241,643 | — | — | 241,643 |
| Corporate securities | — | 2,379,902 | 13,084 | — | 2,392,986 |
| Asset-backed securities | — | 490,218 | — | — | 490,218 |
| Commercial mortgage-backed securities | — | 97,282 | — | — | 97,282 |
| Residential mortgage-backed securities | — | 1,016,173 | — | — | 1,016,173 |
| Total fixed maturity securities | 196,395 | 4,512,663 | 13,084 | — | 4,722,142 |
| Short term investments | 2,592 | 112,461 | — | | 115,053 |
| | 198,987 | 4,625,124 | 13,084 | — | 4,837,195 |
| **Other investments:** | | | | | |
| Hedge funds | — | — | — | 97,878 | 97,878 |
| Private equity funds | — | — | — | 7,491 | 7,491 |
| Private debt funds | — | — | — | 30,162 | 30,162 |
| Senior secured credit funds | — | — | — | 121,063 | 121,063 |
| Other | — | — | 3,885 | — | 3,885 |
| | — | — | 3,885 | 256,594 | 260,479 |
| | $ 198,987 | $ 4,625,124 | $ 16,969 | $ 256,594 | $ 5,097,674 |

*Level 3 Measurements and Changes in Leveling*

Below is a reconciliation of the beginning and ending balances of assets measured at fair value on a recurring basis using Level 3 inputs for years ended December 31, 2024 and 2023:

| | 2024 | 2023 |
|---|---|---|
| Balance beginning as of January 1 | $ 16,969 | $ 16,060 |
| Sales | (2,675) | — |
| Unrealized gains (losses) | | |
| - Included in Net investment income | 472 | (308) |
| - Included in Net unrealized gains (losses) on investments | 522 | 497 |
| Foreign exchange (losses) gains | (209) | 720 |
| Ending balance as of December 31 | $ 15,079 | $ 16,969 |

There were no transfers to and from Level 2 and Level 3 for the years ended December 31, 2024 and 2023.

*Valuation Techniques and Inputs*

The table below presents the quantitative information related to the fair value measurements for our fixed maturity investments and other investments measured at fair value on a recurring basis using Level 3 inputs:

**Qualitative Information about Level 3 Fair Value Measurements**

| Valuation Techniques | Fair Value as of December 31, 2024 | Unobservable Input | Weighted Average or Actual |
|---|---|---|---|
| **Fixed maturity investments** | | | |
| Discounted cash flow | $ 10,722 | Expected yield | 8.212% - 8.323% |
| **Other investments** | | | |
| External valuation model | 4,357 | Manager pricing | $62.24 |
| Total assets measured at fair value on a recurring basis using Level 3 inputs | $ 15,079 | | |

***Measuring Fair Value Using NAV as a Practical Expedient***

The table below shows the Company's portfolio of other investments measured using Net Asset Valuations ("NAV") as advised by the external fund manager as a practical expedient:

| December 31, 2024 | Fair value | Unfunded Commitments | Redemption Frequency |
|---|---|---|---|
| Senior secured credit funds | $ 172,941 | $ — | See below |
| Hedge funds | 167,627 | — | See below |
| Private equity funds | 15,193 | 36,533 | See below |
| Private debt funds | 42,433 | 28,098 | See below |
| | $ 398,194 | $ 64,631 | |

| December 31, 2023 | Fair value | Unfunded Commitments | Redemption Frequency |
|---|---|---|---|
| Senior secured credit funds | $ 121,063 | $ — | See below |
| Hedge funds | 97,878 | — | See below |
| Private equity funds | 7,491 | 22,169 | See below |
| Private debt funds | 30,162 | 15,172 | See below |
| | $ 256,594 | $ 37,341 | |

Senior secured credit funds

As of December 31, 2024, the Company had $172,941 (2023: $121,063) principally invested in senior secured credit funds. The Company can redeem its investments in senior secured credit funds on a monthly basis.

Hedge funds

As of December 31, 2024, the Company had $167,627 (2023: $97,878) invested in hedge funds that are primarily focused on generating returns through long and short global credit and equity exposures which are generally redeemable at the option of the shareholder with a notice period typically of one to three months.

Private equity funds

As of December 31, 2024, the Company had $15,193 (2023: $7,491) invested in private equity funds including alternative asset limited partnerships (or similar corporate structures) that invest in private equity asset classes primarily across the U.S. The Company has no right to redeem its investment in these funds and it is

estimated that the underlying assets of the funds would liquidate over 5-10 years from inception of the respective vehicles.

Private debt funds

As of December 31, 2024, the Company had $42,433 (2023: $30,162) invested in closed end funds which invest primarily in credit. The Company has no right to redeem its investment in these funds. It is estimated that the majority of the underlying assets in these closed end funds will liquidate after 4-8 years from inception of the applicable fund.

***Financial instruments disclosed, but not carried, at fair value***

The fair value of financial instruments accounting guidance also applies to financial instruments disclosed, but not carried, at fair value, except for certain financial instruments, including insurance contracts.

*Remaining Financial Assets and Liabilities*

The Company's remaining financial assets and liabilities were generally carried at cost or amortized cost, which, due to their short-term nature, approximates fair value as of December 31, 2024 and 2023.

**6. Goodwill and Intangible Assets**

Goodwill and intangible assets as of December 31, 2024 and 2023 are as follows:

| | Goodwill | Intangible assets | | | Goodwill & Intangible assets |
|---|---|---|---|---|---|
| | Gross | Gross | Amortization | Total | Total |
| Balances as of December 31, 2022 | $ 69,551 | $ 246,801 | $ (81,506) | $ 165,295 | $ 234,846 |
| Amortization | — | — | (7,050) | (7,050) | (7,050) |
| Balances as of December 31, 2023 | 69,551 | 246,801 | (88,556) | 158,245 | 227,796 |
| Amortization | — | — | (6,621) | (6,621) | (6,621) |
| Balances as of December 31, 2024 | $ 69,551 | $ 246,801 | $ (95,177) | $ 151,624 | $ 221,175 |

The details of the gross carrying value and accumulated amortization by major category of intangible assets as of December 31, 2024 is shown below:

| | Gross carrying value | Accumulated amortization | Total |
|---|---|---|---|
| Lloyd's Syndicate capacity | $ 94,000 | $ — | $ 94,000 |
| U.S. licenses | 15,254 | — | 15,254 |
| **Indefinite life** | **109,254** | — | **109,254** |
| | | | |
| Customer relationships and distribution network | 95,702 | (53,332) | 42,370 |
| VOBA | 41,845 | (41,845) | — |
| **Definite life** | **137,547** | **(95,177)** | **42,370** |
| **Total intangible assets** | **$ 246,801** | **$ (95,177)** | **$ 151,624** |

The details of the gross carrying value and accumulated amortization by major category of other intangible assets as of December 31, 2023 is shown below:

| | Gross carrying value | Accumulated amortization | Total |
|---|---|---|---|
| Lloyd's Syndicate capacity | $ 94,000 | $ — | $ 94,000 |
| U.S. licenses | 15,254 | — | 15,254 |
| **Indefinite life** | **109,254** | — | **109,254** |
| | | | |
| Customer relationships and distribution network | 95,702 | (46,711) | 48,991 |
| VOBA | 41,845 | (41,845) | — |
| **Definite life** | **137,547** | **(88,556)** | **48,991** |
| **Total intangible assets** | **$ 246,801** | **$ (88,556)** | **$ 158,245** |

With respect to the indefinite-life intangible assets in the tables above, Lloyd's Syndicate capacity represents the right to underwrite a certain allocated limit of premium in the Lloyd's market, and relates to the acquisition of Ascot Employee Corporate Member Limited ("AECM"), AUHL and ACNL (together, the "U.K. Group") in November 2016. U.S. licenses represent a legal right to transact business indefinitely within U.S. states and relate to the acquisitions of AIC in October 2016 and AmFed and ASC in October 2021.

With respect to the definite-life intangible assets in the tables above, customer relationships and distribution networks represent the present value of the expected profits to be derived from existing customers and distribution networks. VOBA represents the expected future losses and expenses associated with the policies and contracts that were in-force as of the closing date of the transaction compared to the future premium remaining expected to be earned. The definite-life intangible assets relate to the aforementioned acquisitions of the U.K. Group and AmFed.

The remaining useful life of intangible assets with finite lives ranges from 2 to 7 years with a weighted average remaining amortization period of 6.6 years. Expected amortization of the intangible assets is shown below:

| | Intangible assets |
|---|---|
| 2025 | $ 6,621 |
| 2026 | 6,582 |
| 2027 | 6,467 |
| 2028 | 6,356 |
| 2029 | 5,800 |
| 2030 and thereafter | 10,544 |
| Total remaining amortization expense - definite life | 42,370 |
| Indefinite life | 109,254 |
| Total | $ 151,624 |

As described in *Note 2 - Summary of Significant Accounting Policies*, the annual qualitative and quantitative impairment test was performed as of September 30, 2024 and neither goodwill nor the intangible assets were deemed to be impaired.

## 7. Reserves for Loss and Loss Adjustment Expenses

***Reserving Methodology***

The Company believes that the most significant accounting judgment made by management is the estimate of reserve for losses and loss adjustment expenses ("loss reserves"). The loss reserves represent management's estimate of the unpaid portion of the ultimate liability for losses and loss adjustment expenses for events that have occurred at or before the balance sheet date. The reserves are estimated on an undiscounted basis.

The process of establishing loss reserves is complex and subject to considerable variability, as it requires the use of judgment to make informed estimates. These estimates are based on numerous factors, and may be revised as additional experience and other data become available and are reviewed. Loss reserves are categorized into two types:

- Case reserves - reserves for reported losses and loss adjustment expenses that have not yet been settled; and
- IBNR reserves - reserves for incurred but not reported losses and for reported losses over and above the amount of case reserves.

Case and IBNR reserves, net of reinsurance reserves are estimated by first estimating gross of reinsurance reserves, then estimating reinsurance recoverables.

***Case reserves***

Case reserves generally are analyzed and established by the Company's claims department, making use of third party input and information where appropriate.

For insurance contracts, the Company is generally notified of insured losses by the insureds and/or their brokers. Based on this information, the Company records a case reserve for the estimated ultimate losses arising from the claim, including defense and cost containment expenses. These estimates reflect the judgment of the Company's claims personnel based on general reserving practices, the experience and knowledge of such personnel regarding the class of business and nature of the specific claim and, where appropriate, the advice of legal counsel, loss adjusters and other relevant consultants.

For reinsurance contracts, the Company typically receives loss notifications from its cedants and/or their brokers in the form of loss bordereaux or individual loss notifications and uses this information to record a case reserve for the estimated ultimate losses. These notifications generally include varying amounts of information about the nature and quantum of the loss, including paid amounts and estimates of ultimate losses, and there is often a timing lag between the cedant establishing a reserve and notifying the loss to the Company.

Adjustments to case reserves are made as new information becomes available and are recorded in the period in which such changes are identified.

***IBNR reserves***

IBNR reserves are established to provide for incurred claims which have not yet been reported at the balance sheet date to account for the reporting lags and to adjust for any projected aggregate variance between case reserves and ultimate losses. Reporting lags may arise from a number of factors, including but not limited to the nature of the loss, the use of intermediaries and complexities in the claims adjusting process. The Company's actuaries estimate ultimate losses and loss adjustment expenses using various generally accepted actuarial methods applied to known losses and other relevant information (discussed further below).

Like case reserves, IBNR reserves are adjusted as new information becomes available. The process of estimating IBNR reserves involves a considerable degree of judgment by management and is inherently uncertain.

*Reserving for Attritional Losses*

To establish IBNR reserves for attritional losses, contracts are grouped into cohorts, or reserving classes, that have similar coverage, inception or exposure period, and loss reporting characteristics. The paid and reported losses for these reserving classes are tracked over time against expectations and against the actuarial loss reserving indications and IBNR reserve selected for each cohort.

The principal actuarial methods used by the Company are as follows:

- *Expected Loss Ratio Method* - this method multiplies premiums by an expected loss ratio to produce ultimate loss estimates for an accident or underwriting year. Expected loss ratios are generally based on an analysis of historical loss experience to date, industry data and pricing information. This method is insensitive to actual incurred losses for the accident year or underwriting year in question and is, therefore, often useful in the early stages of development when very few losses have been reported. It becomes less appropriate in the later stages of development.

- *Loss Development Method* - this method assumes that the losses reported/paid for each accident or underwriting year at a particular development stage follow a relatively similar pattern. It assumes that on average, every accident or underwriting year will display the same ratio of loss amounts from one valuation date to another. The percentages reported/paid are established through analyzing the historical loss development data and/or external benchmark information. The strengths of this method are that it reacts to loss emergence and that it makes full use of historical claim emergence/payment experience. However, this method has weaknesses when the underlying assumption of stable loss development/payment patterns is not valid. This could be the consequence of changes in business mix, claim inflation trends or claim reporting practices and/or the presence of large claims, among other things. Furthermore, this method tends to produce volatile estimates of ultimate losses where there is volatility in the underlying reported/paid patterns. Where the expected percentage of reported/paid losses is low, small deviations between actual and expected claims can lead to a large change in the estimate of ultimate losses. As a result, this method is often unsuitable at early development stages for an accident year or underwriting year.

- *Bornhuetter-Ferguson Method* - this method is a weighted average of the Expected Loss Ratio and the Loss Development Method. The weighting between the two methods depends on the maturity of the business and its underlying development patterns. This means that for the more recent years a greater weight is placed on the Expected Loss Ratio Method, while for the more mature years a greater weight is placed on the Loss Development Method. This method avoids some of the distortions that could result from a large development factor being applied to a small base of paid or reported losses to calculate ultimate losses. In addition, the Bornhuetter-Ferguson Method allows for the incorporation of external market information through the use of expected loss ratios, whereas the Loss Development Method does not incorporate such information.

As part of the loss reserving process, the Company's actuaries employ the estimation method(s) that they believe will produce the most reliable estimate of ultimate losses, at that particular evaluation date, for each reserving class and accident year or underwriting year combination. Often, this is a blend (i.e. weighted average) of the results of two or more appropriate actuarial methods, or a selection informed by the collection of methods.

These ultimate loss estimates are generally utilized to evaluate the adequacy of ultimate loss estimates for previous accident or underwriting years, established in the prior reporting period. For the initial estimate of the current accident or underwriting year, the available claim data is typically insufficient to produce a reliable estimate of ultimate losses. As a result, initial estimates for an accident or underwriting year are generally based on the Expected Loss Ratio Method, later progress to reliance on the Bornhuetter-Ferguson Method, and ultimately on the Loss Development Method as the accident or underwriting year matures. For shorter tailed lines this progression may occur over the course of 18 to 36 months, while for longer tailed lines or those with volatile development or payment patterns, it may require several years or more.

The Initial Expected Loss Ratio for each line of business is established by the Company's actuaries at the start of the year as part of the planning process, taking into consideration prior accident years' or underwriting years'

experience and industry benchmarks, adjusted after considering factors such as loss and exposure trends, rate levels and rate changes, changes in contract terms and conditions, business mix changes and other known differences between the current and prior accident or underwriting years. The Initial Expected Loss Ratios for a given accident or underwriting year may be modified over time if the underlying assumptions, such as loss development or rate changes, differ from the original assumptions.

*Reserving for Catastrophe Losses*

The Company cannot estimate losses from known catastrophe events (such as hurricanes and earthquakes) based solely on the traditional actuarial methods described above. The magnitude and complexity of losses associated with certain of these events inherently increase the level of uncertainty and, therefore, the level of management judgment involved in arriving at estimated net reserves for losses and loss adjustment expenses. As a result, actual losses for these events may ultimately differ materially from current estimates.

The determination of net reserves for losses and loss adjustment expenses for known catastrophe events is estimated by management in collaboration with actuaries, claim handlers and underwriters after a catastrophe occurs by completing an analysis based on several sources of information, including:

- Estimates of the size of insured industry losses from the catastrophic event and the Company's corresponding market share;
- A review of the Company's portfolio to identify those contracts which may be exposed to the catastrophic event;
- A review of modeled loss estimates based on information previously reported by customers and brokers, including exposure data obtained during the underwriting process;
- Discussions of the impact of the event with insureds and brokers;
- Information that has been provided by insureds or brokers as claims are notified; and
- Catastrophe bulletins published by various independent statistical reporting agencies.

A blend of these information sources is generally used to arrive at aggregate estimates of the ultimate losses arising from the catastrophic event.

*Management’s Best Estimate*

The Company’s loss reserving process involves the collaboration of its underwriting, claims, actuarial, ceded reinsurance and finance departments, including committee meetings culminating with the approval of a single point best estimate by the Company’s Reserving Committee, which comprises senior management. In selecting this best estimate, management considers actuarial estimates and applies informed judgment regarding qualitative factors that may not be fully captured in these actuarial estimates. Such factors include, but are not limited to, the timing of the emergence of claims, volume and complexity of claims, social and judicial trends, potential severity of individual claims and the extent of Company historical loss data versus industry information. While these qualitative factors are considered in arriving at the estimate, no specific provisions for qualitative factors are established.

The reserving process produces a point estimate for the Company's loss reserves. Although the Company believes that the assumptions and methodologies used are reasonable, the Company cannot be certain that the ultimate payments will not vary, potentially materially, from the estimates made. In subsequent periods, changes in paid and reported losses and other relevant information are reviewed, and adjustments may be made to estimates of ultimate losses if there are developments that are materially different from previous expectations. Adjustments are recorded in the period in which they are identified.

***Reserve Roll-Forward***

The following table presents a reconciliation of the beginning and ending gross reserve for losses and loss expenses and net reserve for losses and loss expenses for the years ended December 31, 2024 and 2023:

| | 2024 | 2023 |
|---|---|---|
| Gross reserves for losses and loss adjustment expenses, beginning of year | $ 4,665,686 | $ 3,613,475 |
| Less: reinsurance recoverable balances, beginning of year | 1,337,575 | 1,160,147 |
| Net reserves for losses and loss adjustment expenses, beginning of year | 3,328,111 | 2,453,328 |
| Increase in net losses and loss adjustment expenses incurred in respect of losses occurring in: | | |
| Current year | 1,977,390 | 1,551,873 |
| Prior years | (48,075) | 40 |
| Total incurred losses and loss adjustment expenses | 1,929,315 | 1,551,913 |
| Less: net losses and loss adjustment expenses paid in respect of losses occurring in: | | |
| Current year | 221,040 | 97,216 |
| Prior years | 695,750 | 595,935 |
| Total net paid losses | 916,790 | 693,151 |
| Net foreign currency on loss and loss adjustment expenses | (23,235) | 16,021 |
| Net reserve for losses and loss adjustment expenses, end of year | 4,317,401 | 3,328,111 |
| Add: reinsurance recoverable balances, end of year | 1,588,921 | 1,337,575 |
| Gross reserve for losses and loss adjustment expenses, end of year | $ 5,906,322 | $ 4,665,686 |

For the year ended December 31, 2024, the Company recorded $77,114 of net favorable prior year reserve development principally related to reduced loss estimates for Hurricane Ian, better than expected loss emergence in our Inland Marine, Cyber and Ocean Marine product classes and favorable non-catastrophe claims experience across multiple Property, Mortgage and Marine Energy classes across all accident years, partially offset by loss deterioration related to the 2022 Russia-Ukraine Property Treaty losses, the 2023 Italian Severe Convection Storm and various large loss events within the Transactional class, predominantly attributable to accident years 2021-2023. This was partially offset by additional net losses and loss adjustment expenses related to prior years of $29,039 resulting from changes in premium estimates. Changes in premium estimates occur on prior year contracts each year as the Company receives additional information on the underlying exposures insured and the associated loss is recorded concurrently with the premium adjustment.

For the year ended December 31, 2023, the Company recorded $17,437 of net favorable prior year reserve development primarily related to reduction in loss estimates for catastrophe events in the 2022 accident year and better than expected loss emergence in our U.S. Ocean Marine, Inland Marine, and Workers' Compensation product lines. This favorable impact was partially offset by unfavorable loss emergence, primarily driven by our Marine liability and Cargo product lines. Marine Liability has shown an increase in loss activity relative to expectations and recent history. This was offset by net losses and loss adjustment expenses related to prior years of $17,477 resulting from changes in premium estimates.

***Net incurred and paid claims development tables by accident year***

The following table reconciles the reserve for losses and loss adjustment expenses ("LAE") reported in the consolidated balance sheet as of December 31, 2024 to the loss development tables disclosed below:

| | 2024 | | |
|---|---|---|---|
| | Net reserve for loss and LAE | Reinsurance recoverable on unpaid claims | Gross reserve for LAE |
| Property | $ 860,362 | $ 385,750 | $ 1,246,112 |
| Casualty | 1,731,291 | 639,866 | 2,371,157 |
| Marine and Energy | 452,058 | 189,859 | 641,917 |
| Professional | 1,056,880 | 328,890 | 1,385,770 |
| Credit | 116,117 | 44,601 | 160,718 |
| Other lines | — | 444 | 444 |
| Unallocated loss adjustment expenses and other | 100,693 | (489) | 100,204 |
| Total | $ 4,317,401 | $ 1,588,921 | $ 5,906,322 |

The following information presents the incurred and paid claims information as of December 31, 2024, net of reinsurance, as well as cumulative claim counts and total IBNR reserves by accident year. The information about incurred and paid claims development presented for the years ended December 31, 2023 and prior and the annual percentage payout of claims is presented as supplementary information.

The following factors are relevant to the loss development information included in the tables below:

- **Table organization:** The tables are organized by accident year and include policies written on an occurrence and claims-made basis. Professional business, which includes Cyber, is primarily written on a claims-made basis, while the majority of the Casualty business, which includes Workers' Compensation and Excess Casualty classes of business, is written on an occurrence basis. Marine & Energy, Credit and the short-tail lines in Property are written on an occurrence basis.

- **Groupings:** The Company believes its groupings have homogeneous risk characteristics with similar development patterns and would generally be subject to similar trends. The incurred losses and loss adjustment expenses and paid losses in the following tables for the current reporting year are assigned to the product grouping and accident years based on how the business is coded by profit center and line of business.

- **Ceded Reinsurance:** The Company's reinsurance program varies by exposure type. Historically the Company has leveraged facultative and treaty reinsurance, both on a pro-rata and excess of loss basis. The Company's reinsurance program may change from year to year, which may affect the comparability of the data presented in the development tables.

- **IBNR:** The Company includes development from past reported losses in IBNR.

- **Data excluded from tables:** Information with respect to accident years older than ten years, unallocated loss adjustment expenses and insignificant lines of business are excluded from the development tables.

- **Acquisitions:** The Company includes acquisitions from all accident years presented in tables. For the purposes of this disclosure:

    - *U.K. acquisitions* - the Company has applied the retrospective method for the reserves acquired in 2016, including incurred and paid claim development histories throughout the relevant tables. It should be noted that historical reserves for the acquired business were established by the acquired companies using methods, assumptions and procedures then in effect, which may differ from the Company's current reserving methodologies. Accordingly, it may not be appropriate to extrapolate future redundancies or deficiencies based on the aggregated historical results shown in the triangles.

- *U.S. acquisitions* - the Company has applied the prospective method for the acquired reserves as the loss reserves were effectively re-underwritten at the date that they were acquired. Furthermore, some of the information required to prepare the loss development disclosures was deemed to be unreliable.

- **Foreign exchange:** Non-U.S. dollar denominated loss data is converted to U.S. dollar at the rates of exchange in effect at the balance sheet date for material underlying currencies. Fluctuations in currency exchange rates may cause material shifts in loss development. Reserves for losses and loss adjustment expenses, disclosed in the consolidated balance sheets, are also revalued using the exchange rate at the balance sheet date.

- **Claim counts:** Reported claim counts are included in the loss development tables on a cumulative basis. The Company measures claim count information as follows:

  - For the Company's U.K. and Bermuda operations, the claim counts for the Company's insurance and reinsurance business only includes claims where a reserve for losses and loss adjustment expenses has been recorded.

  - For the Company's U.S. operations, the claim counts include all claims reported where the Company has identified a potential liability for the claim, even if there is no existing reserve.

  - The Company measures claim counts on its insurance business by individual claim reference.

  - With respect to the Company's proportional reinsurance business, the Company does not consistently receive claim count information underlying its assumed quota share arrangements. As such, each affected assumed quota share policy is recorded as a single claim.

  - With respect to the Company's non-proportional reinsurance business, each affected contract is recorded as a single claim, inclusive of situations where a single loss event affects multiple contracts.

- **Average annual percentage payout:** The Company discloses its average annual percentage payout of incurred claims by age, net of reinsurance. Negative average annual percentage payouts can occur for a number of reasons, the most common being the timing of reinsurance payments or the effects of salvage and subrogation.

Consolidated

**Incurred claims and allocated loss adjustment expenses, net of reinsurance**

| | Unaudited | | | | | | | | | | As of December 31, 2024 | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| Accident Year | 2015 | 2016 | 2017 | 2018 | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 | Total IBNR | Cum. No. of Reported Claims |
| 2015 | 234,748 | 275,271 | 275,085 | 268,009 | 273,457 | 271,610 | 271,654 | 271,169 | 272,360 | 274,028 | 1,544 | 8,365 |
| 2016 | | 236,346 | 268,586 | 259,680 | 277,213 | 283,928 | 291,036 | 291,716 | 292,863 | 291,908 | 3,242 | 9,581 |
| 2017 | | | 377,917 | 354,402 | 351,569 | 358,317 | 349,245 | 350,909 | 352,201 | 351,747 | 4,700 | 11,120 |
| 2018 | | | | 353,597 | 465,930 | 510,225 | 517,360 | 522,770 | 526,446 | 528,812 | 12,742 | 10,282 |
| 2019 | | | | | 278,528 | 282,537 | 307,645 | 334,601 | 347,514 | 358,440 | 28,527 | 9,107 |
| 2020 | | | | | | 497,558 | 506,945 | 539,046 | 559,772 | 575,866 | 83,520 | 10,367 |
| 2021 | | | | | | | 909,473 | 993,753 | 982,281 | 956,007 | 205,432 | 11,950 |
| 2022 | | | | | | | | 1,357,377 | 1,328,586 | 1,311,820 | 576,099 | 14,885 |
| 2023 | | | | | | | | | 1,513,842 | 1,482,857 | 822,600 | 17,261 |
| 2024 | | | | | | | | | | 1,917,622 | 1,445,243 | 18,022 |
| | | | | | | | | | | $8,049,107 | $3,183,649 | |

**Cumulative paid claims and loss adjustment expenses, net of reinsurance**

| Accident Year | Unaudited | | | | | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|
| | 2015 | 2016 | 2017 | 2018 | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 |
| 2015 | 60,061 | 161,378 | 204,255 | 221,900 | 241,908 | 250,857 | 255,882 | 259,293 | 261,669 | 265,712 |
| 2016 | | 55,764 | 154,387 | 204,281 | 219,083 | 239,553 | 252,871 | 266,657 | 270,806 | 275,052 |
| 2017 | | | (21,640) | 158,431 | 218,216 | 258,895 | 278,917 | 301,322 | 314,869 | 321,991 |
| 2018 | | | | 99,677 | 267,505 | 359,275 | 417,776 | 452,853 | 473,116 | 488,078 |
| 2019 | | | | | 72,985 | 137,851 | 188,804 | 224,639 | 259,684 | 286,184 |
| 2020 | | | | | | 87,899 | 235,422 | 325,832 | 380,234 | 439,332 |
| 2021 | | | | | | | 147,638 | 343,046 | 474,652 | 614,093 |
| 2022 | | | | | | | | 120,866 | 382,181 | 557,673 |
| 2023 | | | | | | | | | 145,793 | 395,475 |
| 2024 | | | | | | | | | | 207,451 |
| | | | | | | | | | | $3,851,041 |

**Average annual percentage payout of incurred claims by age, net of reinsurance (unaudited)**

| Year 1 | Year 2 | Year 3 | Year 4 | Year 5 | Year 6 | Year 7 | Year 8 | Year 9 | Year 10 |
|---|---|---|---|---|---|---|---|---|---|
| 13.5 % | 28.3 % | 15.5 % | 9.7 % | 7.8 % | 5.1 % | 3.3 % | 1.6 % | 1.2 % | 1.5 % |

The following table reconciles the net reserve for losses and loss expenses derived from the incurred and paid loss development triangles to the reserve for losses and loss expenses in the consolidated balance sheet as of December 31, 2024:

| | December 31, 2024 |
|---|---|
| Total incurred claims and allocated loss and loss adjustment expenses, net of reinsurance | $ 8,049,107 |
| Less: Cumulative paid claims and loss adjustment expenses, net of reinsurance | (3,851,041) |
| All outstanding liabilities before 2015, net of reinsurance | 18,642 |
| Unallocated claims adjustment expenses and other | 100,693 |
| | $ 4,317,401 |

Property

**Incurred claims and allocated loss adjustment expenses, net of reinsurance**

| Accident Year | Unaudited | | | | | | | | | | As of December 31, 2024 | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | 2015 | 2016 | 2017 | 2018 | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 | Total IBNR | Cum. No. of Reported Claims |
| 2015 | 96,536 | 112,937 | 116,762 | 112,672 | 115,596 | 113,788 | 112,599 | 112,584 | 112,542 | 113,479 | 91 | 2,587 |
| 2016 | | 106,131 | 119,664 | 109,301 | 114,598 | 118,409 | 120,374 | 120,647 | 122,057 | 121,493 | (956) | 3,235 |
| 2017 | | | 220,000 | 179,334 | 162,887 | 165,784 | 157,289 | 156,050 | 154,728 | 153,767 | 2,731 | 3,570 |
| 2018 | | | | 148,310 | 213,229 | 255,040 | 256,791 | 254,311 | 253,396 | 247,516 | 2,320 | 3,276 |
| 2019 | | | | | 76,689 | 70,292 | 87,704 | 101,788 | 101,176 | 104,124 | 3,497 | 2,893 |
| 2020 | | | | | | 225,851 | 242,489 | 276,193 | 280,643 | 283,940 | 22,010 | 3,793 |
| 2021 | | | | | | | 339,668 | 415,994 | 415,357 | 405,610 | 29,774 | 3,601 |
| 2022 | | | | | | | | 474,250 | 441,741 | 435,688 | 83,896 | 3,993 |
| 2023 | | | | | | | | | 332,396 | 294,612 | 47,565 | 3,279 |
| 2024 | | | | | | | | | | 487,639 | 277,033 | 3,416 |
| | | | | | | | | | | $2,647,868 | $ 467,961 | |

## Cumulative paid claims and loss adjustment expenses, net of reinsurance

| Accident Year | Unaudited | | | | | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|
| | 2015 | 2016 | 2017 | 2018 | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 |
| 2015 | 31,482 | 72,729 | 92,361 | 100,359 | 108,200 | 112,771 | 113,434 | 113,626 | 113,708 | 114,808 |
| 2016 | | 22,791 | 71,725 | 93,612 | 104,176 | 112,896 | 115,655 | 118,430 | 119,912 | 120,347 |
| 2017 | | | -44,131 | 75,590 | 103,306 | 125,220 | 126,147 | 139,489 | 143,800 | 146,951 |
| 2018 | | | | 70,725 | 152,826 | 206,366 | 215,655 | 233,862 | 237,758 | 240,468 |
| 2019 | | | | | 21,209 | 42,703 | 58,532 | 70,464 | 80,426 | 86,509 |
| 2020 | | | | | | 57,799 | 157,200 | 206,439 | 231,318 | 247,262 |
| 2021 | | | | | | | 90,062 | 204,042 | 272,655 | 320,799 |
| 2022 | | | | | | | | 70,916 | 235,572 | 296,796 |
| 2023 | | | | | | | | | 69,271 | 155,127 |
| 2024 | | | | | | | | | | 74,755 |
| | | | | | | | | | Total | $1,803,822 |
| | | | | | | | | | All outstanding liabilities before 2015, net of reinsurance | 16,316 |
| | | | | | | | | | Reserve for losses and loss adjustment expenses, net of reinsurance | $ 860,362 |

**Average annual percentage payout of incurred claims by age, net of reinsurance (unaudited)**

| Year 1 | Year 2 | Year 3 | Year 4 | Year 5 | Year 6 | Year 7 | Year 8 | Year 9 | Year 10 |
|---|---|---|---|---|---|---|---|---|---|
| 16.4 % | 37.6 % | 17.3 % | 9.4 % | 6.2 % | 4.5 % | 1.7 % | 1.1 % | 0.2 % | 1.0 % |

Casualty

## Incurred claims and allocated loss adjustment expenses, net of reinsurance

| Accident Year | Unaudited | | | | | | | | | | As of December 31, 2024 | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | 2015 | 2016 | 2017 | 2018 | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 | Total IBNR | Cum. No. of Reported Claims |
| 2015 | 21,445 | 37,829 | 38,964 | 37,710 | 38,908 | 41,158 | 41,882 | 41,795 | 42,595 | 43,225 | 1,163 | 842 |
| 2016 | | 40,800 | 57,157 | 61,607 | 68,466 | 72,478 | 77,023 | 77,357 | 77,395 | 77,695 | 2,858 | 1,600 |
| 2017 | | | 49,994 | 68,871 | 73,129 | 74,514 | 71,721 | 73,800 | 76,420 | 77,807 | 4,014 | 2,203 |
| 2018 | | | | 86,159 | 106,577 | 102,914 | 104,367 | 104,941 | 107,948 | 112,616 | 7,340 | 2,079 |
| 2019 | | | | | 69,188 | 69,249 | 66,977 | 60,141 | 63,507 | 70,777 | 12,374 | 1,575 |
| 2020 | | | | | | 88,634 | 88,778 | 73,027 | 81,038 | 98,526 | 39,011 | 1,575 |
| 2021 | | | | | | | 253,167 | 253,343 | 240,316 | 236,466 | 91,849 | 2,193 |
| 2022 | | | | | | | | 396,121 | 407,195 | 399,646 | 262,081 | 2,968 |
| 2023 | | | | | | | | | 550,654 | 558,961 | 411,143 | 4,284 |
| 2024 | | | | | | | | | | 683,045 | 592,501 | 5,572 |
| | | | | | | | | | | $2,358,764 | $1,424,334 | |

## Cumulative paid claims and loss adjustment expenses, net of reinsurance

| Accident Year | Unaudited | | | | | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|
| | 2015 | 2016 | 2017 | 2018 | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 |
| 2015 | 4,545 | 11,806 | 15,479 | 18,378 | 23,501 | 26,468 | 29,365 | 31,444 | 33,566 | 36,233 |
| 2016 | | 1,137 | 22,068 | 30,153 | 39,168 | 47,165 | 55,154 | 61,157 | 63,565 | 67,495 |
| 2017 | | | 1,168 | 22,877 | 32,634 | 40,749 | 46,379 | 52,059 | 58,987 | 63,237 |
| 2018 | | | | 2,016 | 30,118 | 40,636 | 75,385 | 80,455 | 88,263 | 94,658 |
| 2019 | | | | | 8,211 | 15,531 | 24,450 | 29,449 | 38,070 | 45,700 |
| 2020 | | | | | | 1,879 | 8,816 | 15,851 | 26,211 | 45,499 |
| 2021 | | | | | | | 7,290 | 29,042 | 54,885 | 103,441 |
| 2022 | | | | | | | | 6,264 | 31,509 | 70,016 |
| 2023 | | | | | | | | | 14,743 | 75,927 |
| 2024 | | | | | | | | | | 29,981 |
| | | | | | | | | | Total | $ 632,187 |
| | | | | | | | | | All outstanding liabilities before 2015, net of reinsurance | 4,714 |
| | | | | | | | | | Reserve for losses and loss adjustment expenses, net of reinsurance | $1,731,291 |

**Average annual percentage payout of incurred claims by age, net of reinsurance (unaudited)**

| Year 1 | Year 2 | Year 3 | Year 4 | Year 5 | Year 6 | Year 7 | Year 8 | Year 9 | Year 10 |
|---|---|---|---|---|---|---|---|---|---|
| 4.0 % | 15.6 % | 10.1 % | 14.0 % | 10.9 % | 8.4 % | 7.3 % | 4.5 % | 5.0 % | 6.2 % |

Marine & Energy

## Incurred claims and allocated loss adjustment expenses, net of reinsurance

| Accident Year | Unaudited | | | | | | | | | | As of December 31, 2024 | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | 2015 | 2016 | 2017 | 2018 | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 | Total IBNR | Cum. No. of Reported Claims |
| 2015 | 116,288 | 123,275 | 118,000 | 116,514 | 117,578 | 115,320 | 115,896 | 115,522 | 114,918 | 115,038 | 253 | 4,928 |
| 2016 | | 88,922 | 91,306 | 88,334 | 93,118 | 91,961 | 92,618 | 92,331 | 92,038 | 91,354 | 1,328 | 4,595 |
| 2017 | | | 102,916 | 100,878 | 107,165 | 108,026 | 107,720 | 109,615 | 110,076 | 109,563 | (2,326) | 4,936 |
| 2018 | | | | 102,683 | 119,426 | 121,902 | 125,355 | 127,174 | 129,030 | 129,085 | 538 | 4,422 |
| 2019 | | | | | 97,194 | 105,425 | 114,074 | 123,694 | 133,052 | 138,851 | 7,897 | 3,818 |
| 2020 | | | | | | 111,558 | 104,140 | 111,805 | 112,551 | 118,790 | 3,846 | 3,413 |
| 2021 | | | | | | | 139,148 | 137,803 | 144,420 | 141,775 | 13,834 | 3,953 |
| 2022 | | | | | | | | 172,076 | 176,731 | 168,865 | 24,602 | 4,866 |
| 2023 | | | | | | | | | 197,186 | 184,097 | 46,927 | 4,085 |
| 2024 | | | | | | | | | | 286,519 | 173,589 | 3,007 |
| | | | | | | | | | | $1,483,937 | $ 270,488 | |

## Cumulative paid claims and loss adjustment expenses, net of reinsurance

| Accident Year | Unaudited | | | | | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|
| | 2015 | 2016 | 2017 | 2018 | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 |
| 2015 | 24,034 | 76,737 | 95,406 | 102,154 | 108,986 | 110,393 | 111,853 | 112,992 | 113,150 | 113,425 |
| 2016 | | 31,834 | 60,553 | 79,953 | 75,058 | 78,611 | 81,161 | 85,969 | 86,212 | 86,089 |
| 2017 | | | 21,178 | 59,142 | 80,516 | 86,676 | 98,526 | 100,912 | 102,473 | 103,494 |
| 2018 | | | | 26,468 | 78,531 | 100,734 | 109,217 | 114,309 | 118,930 | 121,361 |
| 2019 | | | | | 41,275 | 70,610 | 88,868 | 97,158 | 109,304 | 118,264 |
| 2020 | | | | | | 21,116 | 56,588 | 75,491 | 82,776 | 98,237 |
| 2021 | | | | | | | 39,395 | 81,948 | 100,869 | 111,601 |
| 2022 | | | | | | | | 38,848 | 92,495 | 124,206 |
| 2023 | | | | | | | | | 34,834 | 82,047 |
| 2024 | | | | | | | | | | 70,742 |
| | | | | | | | | | Total | $1,029,466 |
| | | | | | | | | | All outstanding liabilities before 2015, net of reinsurance | (2,413) |
| | | | | | | | | | Reserve for losses and loss adjustment expenses, net of reinsurance | $ 452,058 |

**Average annual percentage payout of incurred claims by age, net of reinsurance (unaudited)**

| Year 1 | Year 2 | Year 3 | Year 4 | Year 5 | Year 6 | Year 7 | Year 8 | Year 9 | Year 10 |
|---|---|---|---|---|---|---|---|---|---|
| 23.7 % | 32.3 % | 16.9 % | 4.6 % | 7.7 % | 3.2 % | 2.5 % | 0.7 % | — % | 0.2 % |

Professional

## Incurred claims and allocated loss adjustment expenses, net of reinsurance

| Accident Year | Unaudited | | | | | | | | | | As of December 31, 2024 | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | 2015 | 2016 | 2017 | 2018 | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 | Total IBNR | Cum. No. of Reported Claims |
| 2015 | 13 | 13 | 13 | 13 | 270 | 254 | 224 | 206 | 1,234 | 1,227 | 9 | 3 |
| 2016 | | 60 | 112 | 193 | 415 | 491 | 492 | 851 | 843 | 838 | 2 | 145 |
| 2017 | | | 4,030 | 4,839 | 7,219 | 8,797 | 9,405 | 10,432 | 9,935 | 9,605 | 226 | 397 |
| 2018 | | | | 15,534 | 25,088 | 27,926 | 28,430 | 32,314 | 31,330 | 34,997 | 1,878 | 487 |
| 2019 | | | | | 31,136 | 34,151 | 35,307 | 41,882 | 43,098 | 36,805 | 3,379 | 787 |
| 2020 | | | | | | 59,142 | 59,131 | 67,026 | 75,007 | 61,848 | 15,515 | 1,478 |
| 2021 | | | | | | | 163,607 | 173,442 | 171,163 | 160,980 | 64,774 | 2,135 |
| 2022 | | | | | | | | 276,792 | 272,068 | 277,833 | 189,429 | 2,975 |
| 2023 | | | | | | | | | 377,550 | 398,362 | 282,413 | 5,531 |
| 2024 | | | | | | | | | | 414,650 | 362,382 | 5,944 |
| | | | | | | | | | | $1,397,145 | $ 920,007 | |

## Cumulative paid claims and loss adjustment expenses, net of reinsurance

| Accident Year | Unaudited | | | | | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|
| | 2015 | 2016 | 2017 | 2018 | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 |
| 2015 | — | — | — | — | 195 | 198 | 200 | 200 | 214 | 215 |
| 2016 | | 2 | 41 | 89 | 171 | 368 | 386 | 586 | 602 | 605 |
| 2017 | | | 141 | 640 | 1,574 | 5,160 | 5,658 | 7,912 | 8,658 | 7,358 |
| 2018 | | | | 468 | 6,012 | 10,775 | 16,747 | 22,478 | 25,660 | 28,458 |
| 2019 | | | | | 2,265 | 8,954 | 16,699 | 22,413 | 26,669 | 29,766 |
| 2020 | | | | | | 4,982 | 10,704 | 23,258 | 33,823 | 41,191 |
| 2021 | | | | | | | 10,790 | 25,003 | 42,462 | 73,428 |
| 2022 | | | | | | | | 3,766 | 19,108 | 57,164 |
| 2023 | | | | | | | | | 24,844 | 74,759 |
| 2024 | | | | | | | | | | 27,323 |
| | | | | | | | | | Total | $ 340,267 |
| | | | | | | | | | All outstanding liabilities before 2015, net of reinsurance | 2 |
| | | | | | | | | | Reserve for losses and loss adjustment expenses, net of reinsurance | $1,056,880 |

**Average annual percentage payout of incurred claims by age, net of reinsurance (unaudited)**

| Year 1 | Year 2 | Year 3 | Year 4 | Year 5 | Year 6 | Year 7 | Year 8 | Year 9 | Year 10 |
|---|---|---|---|---|---|---|---|---|---|
| 3.8 % | 8.9 % | 11.9 % | 16.6 % | 14.1 % | 8.7 % | 9.9 % | (3.9)% | 0.7 % | 0.1 % |

Credit

## Incurred claims and allocated loss adjustment expenses, net of reinsurance

| Accident Year | Unaudited | | | | | | | | | | As of December 31, 2024 | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | 2015 | 2016 | 2017 | 2018 | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 | Total IBNR | Cum. No. of Reported Claims |
| 2015 | 466 | 1,217 | 1,346 | 1,100 | 1,105 | 1,090 | 1,053 | 1,062 | 1,071 | 1,059 | 28 | 5 |
| 2016 | | 433 | 347 | 245 | 616 | 589 | 529 | 530 | 530 | 528 | 10 | 6 |
| 2017 | | | 977 | 480 | 1,169 | 1,196 | 3,110 | 1,012 | 1,042 | 1,005 | 55 | 14 |
| 2018 | | | | 911 | 1,610 | 2,443 | 2,417 | 4,030 | 4,742 | 4,598 | 666 | 18 |
| 2019 | | | | | 4,300 | 3,399 | 3,562 | 7,075 | 6,660 | 7,883 | 1,380 | 34 |
| 2020 | | | | | | 12,332 | 12,366 | 10,954 | 10,492 | 12,762 | 3,138 | 108 |
| 2021 | | | | | | | 13,883 | 13,171 | 11,025 | 11,176 | 5,201 | 68 |
| 2022 | | | | | | | | 38,138 | 30,851 | 29,788 | 16,091 | 83 |
| 2023 | | | | | | | | | 56,055 | 46,824 | 34,551 | 82 |
| 2024 | | | | | | | | | | 45,770 | 39,738 | 83 |
| | | | | | | | | | | $ 161,393 | $ 100,858 | |

## Cumulative paid claims and loss adjustment expenses, net of reinsurance

| Accident Year | Unaudited | | | | | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|
| | 2015 | 2016 | 2017 | 2018 | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 |
| 2015 | — | 106 | 1,009 | 1,009 | 1,026 | 1,027 | 1,030 | 1,031 | 1,031 | 1,031 |
| 2016 | | — | — | 474 | 510 | 513 | 515 | 515 | 515 | 516 |
| 2017 | | | 4 | 182 | 186 | 1,090 | 2,207 | 950 | 951 | 951 |
| 2018 | | | | — | 18 | 764 | 772 | 1,749 | 2,505 | 3,133 |
| 2019 | | | | | 25 | 53 | 255 | 5,155 | 5,215 | 5,945 |
| 2020 | | | | | | 2,123 | 2,114 | 4,793 | 6,106 | 7,143 |
| 2021 | | | | | | | 101 | 3,011 | 3,781 | 4,824 |
| 2022 | | | | | | | | 1,072 | 3,497 | 9,491 |
| 2023 | | | | | | | | | 2,101 | 7,615 |
| 2024 | | | | | | | | | | 4,650 |
| | | | | | | | | | Total | $ 45,299 |
| | | | | | | | | | All outstanding liabilities before 2015, net of reinsurance | 23 |
| | | | | | | | | | Reserve for losses and loss adjustment expenses, net of reinsurance | $ 116,117 |

**Average annual percentage payout of incurred claims by age, net of reinsurance (unaudited)**

| Year 1 | Year 2 | Year 3 | Year 4 | Year 5 | Year 6 | Year 7 | Year 8 | Year 9 | Year 10 |
|---|---|---|---|---|---|---|---|---|---|
| 3.7 % | 8.3 % | 30.3 % | 25.5 % | 23.9 % | (19.8)% | 3.5 % | — % | 0.1 % | — % |

## 8. Reinsurance

In the ordinary course of business, the Company purchases treaty and facultative reinsurance to reduce exposure to significant losses. Facultative reinsurance provides coverage for all or a portion of the losses incurred for a single policy and each facultative contract is negotiated separately.

Treaty reinsurance provides coverage for a specified type or category of risks. Treaty reinsurance agreements provide this cover on either an excess of loss or a proportional basis. Excess of loss covers provide a contractually set amount of coverage after a specified loss amount has been reached. These treaties can provide cover for a number of lines of business within one contract. Under proportional reinsurance, the Company cedes an agreed proportion of the premiums and the losses and loss adjustment expenses on the policies it underwrites. These treaties provide a specified percentage of coverage from the first dollar of loss.

All of these reinsurance covers provide the Company the right to recover a portion of specified losses and loss adjustment expenses from reinsurers. However, to the extent that the reinsurers do not meet their obligations under these agreements due to solvency issues, contractual disputes or other reasons, the Company remains liable.

### *(a) Effects of reinsurance on premiums written and earned*

The effects of reinsurance on premiums written and earned and on losses and loss adjustment expenses is as follows for the years ended December 31, 2024 and 2023:

| | 2024 | 2023 |
|---|---|---|
| **Net premiums written** | | |
| Direct | $ 2,828,764 | $ 2,479,209 |
| Assumed | 1,849,696 | 1,364,734 |
| Ceded | (1,147,676) | (964,935) |
| **Net premiums written** | 3,530,784 | 2,879,008 |
| | | |
| **Net premiums earned** | | |
| Direct | 2,625,868 | 2,340,748 |
| Assumed | 1,614,847 | 1,300,135 |
| Ceded | (1,025,167) | (927,561) |
| **Net premiums earned** | 3,215,548 | 2,713,322 |
| | | |
| **Losses and loss adjustment expenses** | | |
| Gross losses and loss adjustment expenses incurred | 2,470,044 | 1,981,598 |
| Losses and loss adjustment expense recoveries | (540,729) | (429,685) |
| **Net incurred losses and loss adjustment expenses** | $ 1,929,315 | $ 1,551,913 |

### *(b) Credit risk*

Reinsurance recoverable reflects amounts due from reinsurers based on the claim liabilities associated with the reinsured policy. The Company accrues amounts that are due from assuming companies based on estimated ultimate losses applicable to the contracts.

The Company has not historically experienced significant credit losses. In determining an allowance for these reinsurance assets, the Company considers historical information in combination with counterparty financial strength ratings and the extent to which they are collateralized. The Company assesses the risk of future default by evaluating current market conditions for the likelihood of default and calculates its provision for current expected credit losses under the probability of default and loss given default methodology.

As of December 31, 2024 and 2023, the distribution of the Company's reinsurance recoverables from reinsurers as categorized by major rating agencies were as follows:

| Classification | 2024 | 2023 |
|---|---|---|
| A- or better | 85.4 % | 79.2 % |
| Fully collateralized | 13.5 % | 19.5 % |
| Uncollateralized and unrated [1] | 1.1 % | 1.3 % |
| Total | 100.0 % | 100.0 % |

[1] The uncollateralized recoverable from unrated reinsurers principally relates to a recoverable from the Mississippi Workers' Compensation Assigned Risk Pool.

As of December 31, 2024, the three largest balances by reinsurer accounted for 9.0%, 8.8% and 8.5% (2023: 11.1%, 10.9% and 8.9%) of reinsurance recoverable on unpaid and paid losses and loss expenses.

As of December 31, 2024 and 2023, the provision for current expected credit losses was $4,195 and $2,033, respectively.

## 9. Financing Arrangements

***Letter of Credit Facilities***

On October 30, 2023, the Company and AGL (as Guarantor) entered into a committed unsecured $300,000 letter of credit facility (the "FAL LOC Facility") with ING Bank N.V. London Branch, The Bank of Nova Scotia, London Branch and Lloyd's Bank PLC (together, the “Banks”). The facility may be collateralized at the option of ABL. Under the terms of the FAL LOC Facility, letters of credit to a maximum aggregate amount of $300,000 are available for issuance. These letters of credit will be used to provide Funds at Lloyd's to support the underwriting capacity provided by ACNL to the Syndicate. The FAL LOC Facility is subject to certain covenants, including the requirement to maintain a minimum consolidated tangible net worth and a maximum leverage ratio, as defined in the FAL LOC Facility Documents. Obligations under the FAL LOC Facility include contingent reimbursement obligations for outstanding letters of credit and fees. In the event of default, the Banks may exercise certain remedies, including the exercise of control over pledged collateral and the termination of the availability of the FAL LOC Facility.

On December 20, 2018, the Company and AGL (as Guarantor) entered into an uncommitted secured letter of credit facility with Wells Fargo Bank, National Association (the "Wells Fargo LOC Facility"). On November 30, 2022 the terms of the Wells Fargo LOC Facility were amended to increase the maximum aggregate amount of letters of credit which are available for issuance to $200,000. The Wells Fargo LOC Facility is subject to certain covenants, including the requirement to maintain a minimum level of collateral in the form of cash and fixed maturity securities. Obligations under the Wells Fargo LOC Facility include contingent reimbursement obligations for outstanding letters of credit and fees. In the event of default, Wells Fargo Bank, National Association may exercise certain remedies, including the exercise of control over pledged collateral and the termination of the availability of the Wells Fargo LOC Facility.

On December 21, 2021, the Company and AGL (as Guarantor) entered into an uncommitted letter of credit facility with The Bank of Nova Scotia (the "Nova Scotia LOC Facility"). The facility may be collateralized at the option of ABL. The terms of this facility were amended on April 14, 2023 and a maximum aggregate amount of $75,000 of letters of credit are available for issuance. The Nova Scotia LOC Facility is subject to certain covenants, including the requirement to maintain a minimum consolidated tangible net worth and a maximum leverage ratio, as defined in the Nova Scotia LOC Facility Documents.

On February 2, 2023, AIC entered into a Master Reimbursement Agreement with Lloyd's Bank Corporate Markets plc (the "Lloyd's Reimbursement Facility"). Under the terms of the facility, letters of credit, financial guarantees, bonds or comparable demand instruments to a maximum aggregate amount of $100,000 may be

extended on an unsecured basis. The Lloyd's Reimbursement Facility is subject to usual and customary representations, warranties and undertakings.

On April 14, 2023, AIC entered into a Master Reimbursement Agreement with The Bank of Nova Scotia (the "Nova Scotia Reimbursement Facility"). Under the terms of the facility, letters of credit, financial guarantees, bonds or comparable demand instruments to a maximum aggregate amount of $75,000 may be extended on an unsecured basis. The Nova Scotia Reimbursement Facility is subject to usual and customary representations, warranties and undertakings.

As of December 31, 2024 and 2023, the unutilized letters of credit under the above facilities were as follows:

| | 2024 | 2023 |
|---|---|---|
| FAL LOC Facility | $ 40,000 | $ 84,000 |
| Wells Fargo LOC Facility | 20,022 | 35,736 |
| Nova Scotia LOC Facility | 7,803 | 9,823 |
| Lloyd's Reimbursement Facility | 2,231 | 29,139 |
| Nova Scotia Reimbursement Facility | 7,404 | 40,000 |
| | $ 77,460 | $ 198,698 |

## 10. Commitments and Contingencies

### *a) Concentrations of credit risk*

Credit risk is the risk of default of a counterparty or obligor including the risk of default under mitigating contracts like reinsurance, financial instruments and premium payments from policy holders. The Company mitigates credit risk through the application of detailed counterparty credit assessments, working to ensure that contractual terms are fit for purpose and that full disclosure of relevant information is made, and through exerting contractual and other credit control measures in pursuit of premium and reinsurance recoverables due.

The assets that potentially subject the Company to concentrations of credit risk consist principally of cash and investments, reinsurance recoverable and premiums receivable balances, as described below.

In assessing an allowance for (re) insurance assets, which includes premiums receivable and reinsurance recoverable, the Company considers historical information, financial strength of reinsurers, collateralization amounts, and ratings to determine the appropriateness of the allowance. In assessing future default for reinsurance assets, the Company evaluates the provision for current expected credit losses under the probability of default method. The Company utilizes counterparty ratings from major rating agencies and assesses the current market conditions for the likelihood of default. Historically, the Company has not experienced material credit losses from premium receivables or reinsurance recoverable assets.

***Cash and investments***

The Company’s cash and cash equivalents are on deposit with various financial institutions. Credit risk arises from the failure of the counterparty to perform according to the terms of a contract. The Company’s deposits are with reputable banks to minimize this risk and they are located principally in Bermuda, the U.S. and the U.K.

The Company's investment portfolio is managed by external investment managers in accordance with its investment guidelines. The Company limits such credit risk through diversification, issuer exposure limitation graded by ratings and, with respect to custodians, through contractual and other legal remedies. Some of the key limits are:

- Concentration of credit risk to any single issuer is limited to 2% or less of the Company's investment portfolio (except for securities issued by U.S. Government and government agencies rated AA- or better);
- Exposure to non investment grade fixed maturities is limited to less than 15% of its investment portfolio;
- Exposure to equities is limited to less than 20% of its investment portfolio;
- Illiquid investments are limited to 10%; and
- A minimum average portfolio quality of A- is required for fixed maturity securities.

As of December 31, 2024 and 2023 the Company was in compliance with these limits.

As of December 31, 2024, the Company had the following unfunded investment commitments:

| December 31, 2024 | Unfunded Commitments |
|---|---|
| Private equity funds | $ 36,533 |
| Private debt funds | 28,098 |
| Real estate and infrastructure funds | 60,000 |
| | $ 124,631 |

***Reinsurance recoverable balances***

See *Note 8 - Reinsurance* for information with respect to reinsurance recoverables.

***Premiums receivable balances***

Premiums receivable reflect premiums written based on contract and policy terms and include estimates based on information received from both insureds and ceding companies and the Company's judgement. The diversity of the Company's client base limits the credit risk associated with its premium balances receivable. In addition, for insurance contracts, the Company has contractual rights to cancel coverage for non-payment of premiums and for reinsurance contracts, it has contractual rights to offset premiums receivable with corresponding payments for losses and loss adjustment expenses.

Brokers and other intermediaries collect premiums from customers to be paid to the Company. The Company has policies and standards in place to manage and monitor credit risk from intermediaries with a focus on day-to-day monitoring of the largest positions.

These contractual rights contribute to the mitigation of credit risk, as does the monitoring of aged receivable balances and the fact that a significant portion of premium balances receivable are not currently due based on the terms of the underlying contracts.

As of December 31, 2024, the Company's premiums receivable balance was $1,457,180 (2023: $1,209,199). The provision for current expected credit losses on the Company's premiums receivable was as of December 31, 2024 was $11,207 (2023: $7,423).

***b) Brokers***

The Company produces its business through brokers and direct relationships with insurance companies. During the years ended December 31, 2024 and 2023, the following brokers were used to generate greater than 10% of the Company's consolidated gross premiums written:

| | % of Gross Premiums Written | |
|---|---|---|
| **Broker** | **2024** | **2023** |
| Marsh & McLennan Companies Inc. | 20.4 % | 17.7 % |
| Arthur J. Gallagher & Co | 14.4 % | 16.0 % |
| Aon plc | 11.9 % | 12.2 % |

***c) Lease commitments***

The Company leases office space and office equipment under operating leases principally in Bermuda, the U.K. and the U.S. These leases expire at various dates through 2032. The Company renews and enters into new leases in the ordinary course of business, as required. Included in other assets and other liabilities as of December 31, 2024 is a right- to-use asset of $23,783 (2023: $28,555) and a lease liability of $35,189 (2023: $34,162) associated with the Company's operating leases. Operating lease expenses with respect to these leases for the year ended December 31, 2024 of $7,287 (2023: $6,865) were recorded in general and administrative expenses. The weighted average discount rate and weighted average lease term used in determining the lease liability are 4.4% and 5.0 years, respectively.

Future minimum lease payments under the leases are expected to be as follows

| | | |
|---|---|---|
| 2025 | $ | 8,819 |
| 2026 | | 8,997 |
| 2027 | | 7,848 |
| 2028 | | 6,505 |
| 2029 | | 2,761 |
| Later years | | 4,655 |
| Total undiscounted minimum future lease commitments | | 39,585 |
| Less: present value adjustment | | (4,396) |
| Total recorded lease liability at present value | $ | 35,189 |

***d) Litigation***

The Company is subject to litigation and arbitration in the normal course of its business. These lawsuits and arbitrations principally involve claims on policies of insurance and contracts of reinsurance and are typical for the Company and for the property and casualty insurance and reinsurance industry in general. Such legal proceedings are considered in connection with the Company's loss and loss expense reserves. In addition to litigation relating to insurance and reinsurance claims, the Company and its subsidiaries are subject to lawsuits in the normal course of business. The status of any such legal actions is actively monitored by management. If management believed, based on available information, that an adverse outcome upon resolution of a given legal action was probable and the amount of that adverse outcome was reasonable to estimate, a loss would be recognized and a related liability recorded. No such liabilities were recorded by the Company as of December 31, 2024 and 2023.

**11. Shareholder's Equity**

***Share Capital***

*(a) Authorized and issued*

As of December 31, 2024, the authorized share capital of the Company was $1,000 (2023: $120). The issued shares as of December 31, 2024 and 2023 by each class of ordinary share capital was as follows:

| | 2024 | | | 2023 | | |
|---|---|---|---|---|---|---|
| | Issued | Nominal value | Issued and Paid | Issued | Nominal value | Issued and Paid |
| Director Voting Shares | 100 | $ 1.00 | $ — | 100 | $ 1.00 | $ — |
| Non Director Voting Shares | 999,900 | 1.00 | 1,000 | 119,900 | 1.00 | 120 |
| | 1,000,000 | | $ 1,000 | 120,000 | | $ 120 |

During the year ended December 31, 2024, the Company issued 880,000 non-director voting shares to its parent in exchange for proceeds totaling $880. The transaction was required to support the Company's registration as a Class 4 insurer with the BMA, which requires minimum share capital of $1,000. The Company did not issue any shares during the year ended December 31, 2023.

During the year ended December 31, 2023, the Company returned $50,000 to its parent through a capital distribution.

*(b) Dividends*

The Company did not declare any dividends during the years ended December 31, 2024 and 2023.

## 12. Retirement Plans

The Company maintains defined contribution plans to provide retirement benefits to eligible employees. Contributions to the plans, which are managed externally, are based on eligible compensation.

For the year ended December 31, 2024, the Company's total pension expenses were $10,399 (2023: $9,236) for the above retirement benefits.

## 13. Taxation

### *(a) Bermuda*

On December 27, 2023, Bermuda enacted the Corporate Income Tax Act 2023 ("the CIT Act"). The CIT Act introduces a 15.0% corporate income tax ("CIT") on Bermuda businesses that are part of an In Scope Multinational Enterprise Group ("MNE Group"), effective for fiscal years beginning on or after January 1, 2025. An MNE Group is an In Scope MNE Group if, with respect to any fiscal year beginning on or after January 1, 2025, the MNE Group had annual revenue of €750 million or more in the consolidated financial statements for at least two of the four fiscal years immediately preceding such fiscal year. A limited international presence scoping exemption is available to be applied when a) the MNE Group has entities located in six or fewer jurisdictions and (b) the sum of the net book value of tangible assets of entities in jurisdictions outside a reference jurisdiction is less than €50 million. If an MNE Group has a limited international presence, it is not treated as an In Scope MNE Group until the earlier of January 1, 2030 or when it no longer meets the exemption requirements.

Based on annual revenues as reported in AGL's consolidated financial statements, AGL and its subsidiaries, including ABL, will be an In Scope MNE Group commencing with the fiscal year beginning on January 1, 2025. However, AGL and its subsidiaries qualify for the limited international presence scoping exemption, and as such, do not expect to be treated as an In Scope MNE Group until the fiscal year beginning on January 1, 2030.

The CIT Act includes a provision referred to as the Economic Transition Adjustment ("ETA"), which is intended to provide a fair and equitable transition into the tax regime. The ETA allows Bermuda subject entities to establish a tax basis on the assets and liabilities (as of September 30, 2023 (the "Basis Adjustment Valuation Date")) using fair values, which results in deductible and taxable temporary differences that are reflected as deferred income tax assets and liabilities in the financial statements. For each asset and liability subject to the adjustment, the amount of the adjustment would generally be the difference, as of the Basis Adjustment Valuation Date, between the fair market value and the carrying value of assets (including intangible assets excluding goodwill) and liabilities in the Bermuda subject entity's financial statements. The deferred tax assets or liabilities will be amortized in accordance with the CIT Act.

In accordance with ASC 740, effects of changes in tax laws are required to be recognized in the period in which the law is enacted, regardless of the effective date. The Company applied the ETA and recorded a deferred tax asset of $66,450 during the year ended December 31, 2023. Due to the limited international presence scoping exemption, the Company does not expect to realize the full value of the deferred tax asset and therefore has recorded a valuation allowance of $33,225 for the portion that is not more likely than not to be realized. There was no change to the ETA deferred tax asset and the corresponding valuation allowance recognized during the year ended December 31, 2024.

The components of the net deferred tax asset recognized as of December 31, 2024 and 2023 are as follows:

| | December 31, 2024 | | |
|---|---|---|---|
| | Deferred Tax Asset | Valuation Allowance | Net Deferred Tax Asset |
| Value of in-force business | $ 21,750 | $ (10,875) | $ 10,875 |
| Intangible assets | 44,700 | (22,350) | 22,350 |
| Total | $ 66,450 | $ (33,225) | $ 33,225 |

| | December 31, 2023 | | |
|---|---|---|---|
| | Deferred Tax Asset | Valuation Allowance | Net Deferred Tax Asset |
| Value of in-force business | $ 21,750 | $ (10,875) | $ 10,875 |
| Intangible assets | 44,700 | (22,350) | 22,350 |
| Total | $ 66,450 | $ (33,225) | $ 33,225 |

***(b) United Kingdom***

The Company operates in the U.K. through its U.K. subsidiaries and the profits of these companies are subject to U.K. corporation taxes. Income from the Company's operations at Lloyd's is also subject to U.S. income taxes. Under a Closing Agreement between Lloyd's and the U.S. Internal Revenue Service ("IRS"), Lloyd's Members pay U.S. income tax on U.S.- connected income written by Lloyd's Syndicates. U.S. income tax due on this U.S.-connected income is calculated by Lloyd's and remitted directly to the IRS and is charged by Lloyd's to Members in proportion to their participation on the relevant Syndicates. The Company's Corporate Member is subject to this arrangement and will receive a U.K. corporation tax credit for any U.S. income tax incurred up to the value of the equivalent U.K. corporation tax charge on the U.S. income.

The Company's U.K. operating companies were taxed at the U.K. corporate tax rate of 25.0% for the year ended December 31, 2024 (2023: blended rate of 23.5%). In 2021, the U.K. enacted the Finance Act 2021 which increased the U.K. corporate tax rate from 19.0% to 25.0% on April 1, 2023.

On July 11, 2023, Finance (No.2) Act 2023 was enacted in the U.K., introducing a global minimum effective tax rate of 15.0%. The legislation implements a domestic top-up tax and a multinational top-up tax (IIR), effective for accounting periods starting on or after December 31, 2023. The Company's U.K. entities and the U.S. and Canada entities owned by its U.K. entities will be subject to the U.K. IIR legislation.

***(c) United States***

The Company's U.S. subsidiaries are subject to federal, state, and local corporate income taxes and other taxes applicable to U.S. corporations.

The Company's U.S. operating companies are subject to a U.S. federal income tax rate of 21.0%.

On August 16, 2022, the U.S. enacted the Inflation Reduction Act that includes a new Corporate Alternative Minimum Tax ("CAMT") based upon financial statement income, an excise tax on stock buybacks and tax incentives for energy and climate initiatives, among other provisions. The new CAMT is expected to slow but not eliminate the favorable tax impact of the Company's deferred tax assets, resulting in higher cash tax in some years that would generate future tax benefits. The impact of CAMT will depend on the facts in each year and anticipated guidance from the U.S. Department of the Treasury. The Company did not record CAMT for the years ended December 31, 2024 and 2023.

***(d) Others***

The Company is subject to income taxation in other jurisdictions than those stated above, but the impact of the other jurisdictions is not material to the income tax expense (benefit) and provision for income taxes for the years ended December 31, 2024 and 2023.

***Income Tax Expense (Benefit)***

The components of the current and deferred income tax expense (benefit) attributable to operations for the years ended December 31, 2024 and 2023 consist of the following:

| | 2024 | 2023 |
|---|---|---|
| **Current tax expense (benefit):** | | |
| United Kingdom | $ 8,806 | $ 3,483 |
| U.S. Federal | 46,920 | 20,965 |
| U.S. State & local | 9,983 | 1,528 |
| Bermuda | 276 | — |
| Other | — | 23 |
| Total | 65,985 | 25,999 |
| **Deferred tax expense (benefit):** | | |
| United Kingdom | 12,322 | 20,201 |
| U.S. Federal | (4,602) | (33,448) |
| U.S. State & local | — | — |
| Bermuda | — | (33,226) |
| Other | — | — |
| Total | 7,720 | (46,473) |
| **Income tax expense (benefit)** | $ 73,705 | $ (20,474) |

The following table presents the expected income tax expense (benefit) and effective tax rate, calculated as the sum of income (loss) before taxes in each jurisdiction multiplied by that jurisdiction's applicable statutory tax rate, for the years ended December 31, 2024 and 2023:

| | 2024 | 2023 |
|---|---|---|
| **Income (loss) before tax expense by taxing jurisdiction** | | |
| Bermuda | $ 240,074 | $ 272,977 |
| United Kingdom | 69,910 | 104,360 |
| United States | 225,767 | 100,984 |
| Singapore | — | — |
| Canada | 1,771 | (1,336) |
| **Consolidated income before tax** | $ 537,522 | $ 476,985 |
| | | |
| **Statutory tax rates** | | |
| Bermuda | — % | — % |
| United Kingdom | 25.0 % | 23.5 % |
| United States | 21.0 % | 21.0 % |
| Singapore | 17.0 % | 17.0 % |
| Canada | 26.5 % | 26.5 % |
| | | |
| **Expected income tax expense (benefit) by taxing jurisdiction** | | |
| Bermuda | $ — | $ — |
| United Kingdom | 17,478 | 24,525 |
| United States | 47,411 | 21,207 |
| Singapore | — | — |
| Canada | 469 | (354) |
| **Consolidated** | $ 65,358 | $ 45,378 |
| **Consolidated weighted average effective income tax rate** | 12.2 % | 9.5 % |

A reconciliation of the weighted average effective income tax rate by taxing jurisdiction to the Company's actual income tax rate for the years ended December 31, 2024 and 2023 is as follows:

| | 2024 | % | 2023 | % |
|---|---|---|---|---|
| Expected income tax expense (benefit) at weighted average rate | $ 65,358 | 12.2 % | $ 45,378 | 9.5 % |
| Change in tax rate | — | — % | 948 | 0.2 % |
| Recognition of Bermuda net deferred tax asset | — | — % | (66,450) | (13.9)% |
| Change in valuation allowance | (2,983) | (0.6)% | (33,941) | (7.1)% |
| Change in valuation allowance - ETA[1] | — | — % | 33,225 | 7.0 % |
| Impact of intercompany eliminations | — | — % | 973 | 0.2 % |
| Disallowed deductions | 673 | 0.1 % | 616 | 0.1 % |
| State and local taxes | 7,886 | 1.5 % | 1,207 | 0.3 % |
| Other | 2,771 | 0.5 % | (2,430) | (0.5)% |
| Income tax expense (benefit) | $ 73,705 | 13.7 % | $ (20,474) | (4.3)% |

[1] Represents the valuation allowance applied against the deferred tax asset recognized upon the enactment of the Bermuda CIT. See 'Bermuda' above for additional information.

***Deferred Tax Assets and Liabilities***

Deferred income taxes reflect the tax impact of temporary differences between the carrying amounts of assets and liabilities for financial reporting and income tax purposes. Significant components of the deferred tax assets and liabilities as of December 31, 2024 and 2023 were as follows:

| | 2024 | 2023 |
|---|---|---|
| **Deferred tax assets:** | | |
| Loss carryforwards | $ 22,186 | $ 27,581 |
| Deferred underwriting loss | 10,652 | 9,581 |
| Accrued compensation | 12,220 | 9,029 |
| Unearned premium reserve | 18,586 | 14,943 |
| Loss reserve discounting | 14,642 | 10,213 |
| Investments | 797 | 1,911 |
| Share-based compensation | 4,604 | 6,111 |
| Capital loss carry forward | — | 2,747 |
| ETA[1] | 66,450 | 66,450 |
| Other temporary differences | 5,530 | 4,926 |
| **Total deferred tax assets** | 155,667 | 153,492 |
| Valuation allowance | (33,405) | (36,880) |
| **Deferred tax assets, net of valuation allowance** | **122,262** | **116,612** |
| **Deferred tax liabilities** | | |
| Intangible assets | (36,613) | (38,274) |
| Deferred acquisition costs | (10,888) | (7,667) |
| Deferred underwriting loss | (67,633) | (50,694) |
| Other temporary differences | 1,027 | (2,018) |
| **Total deferred tax liabilities** | **(114,107)** | **(98,653)** |
| **Net deferred tax liabilities** | **$ 8,155** | **$ 17,959** |

[1] Represents the deferred tax asset recognized upon the enactment of the Bermuda CIT. See 'Bermuda' above for additional information.

Deferred tax liabilities have not been accrued with respect to the undistributed earnings of the Company's foreign subsidiaries, as it is the Company's intention that all such earnings will be indefinitely reinvested. Generally, when earnings are distributed as dividends, withholding taxes may be imposed by the jurisdiction of the paying subsidiary. Should the U.S. subsidiaries pay a dividend to AGL, withholding taxes would apply to the extent of current year or accumulated earnings and profits at an expected tax rate of 5.0%. It is not expected that distributions from the Company's operations in the U.K. and Canada would be subject to withholding taxes. The U.S. subsidiaries did not pay dividends during the years ended December 31, 2024 and 2023, and it is not expected that the U.S. subsidiaries will pay dividends in the foreseeable future.

If the undistributed earnings that are indefinitely invested were to be distributed from the Company's subsidiaries, the potential tax implications of repatriation would be driven by the amount, timing and manner of any repatriation. Therefore, it is not practicable to estimate the income tax liabilities that might be incurred if such earnings were remitted.

***Assessment of Valuation Allowance on Deferred Tax Assets***

As of each reporting date, the Company considers new evidence, both positive and negative, that could affect its view of the future realization of deferred tax assets. As of December 31, 2024, the Company has provided a valuation allowance of $33,405 (2023: $36,880) against its gross deferred tax asset balance.

During the year ended December 31, 2024, the Company recorded a decrease to its valuation allowance of $3,475, primarily attributable to a $2,983 valuation allowance release relating to U.S. capital loss carryforwards that were fully utilized against capital gains arising from the sale of Ethos Specialty. The remaining change in valuation allowance is attributable to a $492 release relating to the sale of Ethos Canada.

During the year ended December 31, 2023, the Company recorded a decrease to its valuation allowance of $717. This was attributable to a net valuation allowance release of $33,941 on the basis of management's reassessment of the amount of its deferred tax assets in its U.S. operations that are more likely than not to be realised, partially offset by a valuation allowance increase of $33,225 in relation to the deferred tax asset established with respect to the introduction of the Bermuda CIT regime and the associated application of the ETA.

***Net Operating Loss Carryforwards***

As of December 31, 2024, the Company had net operating loss carryforwards that could be available to offset future taxable income, as follows:

| Major Tax Jurisdiction | Loss Carryforwards | Expiration |
|---|---|---|
| U.K. | $ 82,593 | Indefinitely |
| U.S. | 7,322 | 2025-2038 |

***Unrecognized Tax Benefits***

During the years ended December 31, 2024 and 2023, the Company had no unrecognized benefits from uncertain tax positions.

***Open Tax Years***

The Company's subsidiaries may be subject to examination by various tax authorities and may have different statutes of limitations expiration dates. Taxing authorities may propose adjustments to the Company's income taxes.

Listed below are the tax years that remain subject to examination by major tax jurisdiction as of December 31, 2024:

| Major Tax Jurisdiction | Open Tax Years |
|---|---|
| U.K. | 2022-2023 |
| U.S. | 2021-2023 |

***Other***

There were no accruals for the payment of interest and penalties related to income taxes as of December 31, 2024 and 2023.

**14. Statutory Requirements and Dividend Restrictions**

The Company's operations are subject to insurance and/or reinsurance laws and regulations in the jurisdictions in which they operate, the most significant of which include Bermuda and the U.S. In addition, the Company is regulated by Lloyd's in the U.K. These regulations include certain restrictions on the amount of dividends or other distributions available to shareholders without prior approval of the insurance regulatory authorities.

The statutory capital and surplus in each of the Company's most significant regulatory jurisdictions, excluding the U.K. as insurance operations relate solely to the Company's participation in the Lloyd's market (discussed further below), as of December 31, 2024 and 2023 is shown in the following table:

| | Bermuda | | U.S. | |
|---|---|---|---|---|
| | 2024 | 2023 | 2024 | 2023 |
| Actual statutory capital and surplus | $ 3,141,228 | $ 2,396,875 | $ 774,825 | $ 609,612 |
| Required statutory capital and surplus | 1,413,162 | 1,353,065 | 188,567 | 143,715 |

***Bermuda***

ABL is regulated by the BMA. Under the Insurance Act 1978, amendments thereto and Related Regulations of Bermuda (the "Act"), ABL is required to maintain minimum statutory capital and surplus equal to the greater of a minimum solvency margin ("MSM") and the Enhanced Capital Requirement ("ECR"). The MSM is the greater of $1 million, approximately 15% of net premiums written, 15% of the net reserve for losses and loss adjustment expenses or 25% of the ECR. The ECR is calculated based on either an internally developed risk-based capital model or a standard risk-based capital model developed by the BMA.

Under the Act, ABL is restricted as to the payment of dividends for amounts greater than 25% of the prior year’s statutory capital and surplus, whereby an affidavit signed by at least two members of the Board of Directors is required, attesting that any dividend in excess of this amount would not cause the Company to fail to meet its relevant margins. In addition, ABL is restricted from reducing its prior years total statutory capital by 15% or more without approval from the BMA. As of December 31, 2024, the maximum dividend ABL could pay without regulatory approval was $539,236 (2023: $55,240). As of December 31, 2024 the maximum capital distribution ABL could pay without regulatory approval is $291,264 (2023: $291,132).

***United States***

The required statutory capital and surplus of the Company’s U.S. insurance subsidiaries, AIC, ASIC, AmFed and ASC, is determined using the risk-based capital formula ("RBC"), which is the National Association of Insurance Commissioners' ("NAIC") method of measuring the minimum capital appropriate for a U.S. reporting entity to support its overall business operations in consideration of its size and risk profile. If a company falls below the authorized control level as determined under the RBC, the NAIC is authorized to take regulatory actions that it considers necessary to protect policyholders and creditors.

The maximum dividend that may be paid by the Company's U.S. insurance subsidiaries is restricted by the regulatory requirements of the domiciliary states. Generally, the maximum dividend that may be paid by each of the Company's U.S. insurance subsidiaries is limited to the lesser of statutory net income or 10% of total statutory capital and surplus. As of December 31, 2024 and 2023 the maximum dividend that the Company's U.S. insurance subsidiaries could pay without regulatory approval was $22,921 (2023: $5,910).

***Lloyd's***

The Company operates in the Lloyd’s market through ACNL, which is the corporate member of Syndicate 1414. Corporate members of Lloyd’s and Lloyd’s syndicates are bound by the rules of Lloyd’s, which are prescribed by Bye-laws and Requirements made by the Council of Lloyd’s under powers conferred by the Lloyd’s Act 1982. These rules prescribe members’ membership subscription, the level of their contribution to the Lloyd’s Central Fund and the assets they must deposit with Lloyd’s in support of their underwriting. The Council of Lloyd’s has broad powers to sanction breaches of its rules, including the power to restrict or prohibit a member’s participation on Lloyd’s syndicates.

The capital provided to support underwriting, or FAL, is not available for distribution for the payment of dividends or for working capital requirements. Corporate members may also be required to maintain funds under the control of Lloyd’s in excess of their capital requirements and such funds also may not be available for distribution for the payment of dividends. Lloyd’s sets the corporate members’ required capital annually and reviews funds held compared to the latest capital requirements on a quarterly basis. Corporate members can apply to Lloyd’s to release

accumulated funds, provided that the corporate member has sufficient profits available for distribution. The process is supported by the application of a capital model that is based on regulatory rules pursuant to Directive 2009/138/EC of the European Parliament and of the Council of 25 November 2009 on the taking up and pursuit of business of Insurance and Reinsurance ("Solvency II").

FAL may be satisfied by cash, certain investments and letters of credit provided by approved banks. Refer to *Note 4 - Investments* for additional information on the Company's primary FAL, comprised of cash and investments, and *Note 9 - Financing Arrangements* for additional information on the Company's secondary FAL, a letter of credit facility supporting the FAL requirements, as of December 31, 2024 and 2023.

## 15. Related Party Transactions

***Transactions with affiliates***

The Company purchases operating services and support from its parent company and also provides certain services and support to its parent company. As of December 31, 2024, the Company had an outstanding payable of $25,012 (2023: $33,912) included under amounts payable to affiliates related to these services.

***Canro Re Limited***

Canro Re Limited ("Canro Re"), a Bermuda-domiciled special purpose insurer ("SPI") and segregated accounts company, was formed to provide reinsurance capacity to subsidiaries of AGL, namely ABL and Syndicate 1414, through reinsurance agreements which are collateralized and funded by Canro Re through the issuance of non-voting redeemable preference shares to investors. As of December 31, 2024 and 2023, CPP Investment Board PMI-2 Inc., a related party of the Company, is the sole investor of the preference shares issued by Canro Re segregated account 2020-01.

Upon issuance of the preference shares, the proceeds from the issuance were deposited into a collateral account to fund any potential obligations under the reinsurance agreements entered into with ABL and Syndicate 1414.

The Company concluded that Canro Re meets the definition of a VIE as it does not have sufficient equity capital to finance its activities. The Company evaluated its relationship with Canro Re and concluded it does not have a variable interest in Canro Re. As a result, the financial position and results of operations of Canro Re are not consolidated by the Company.

The following table summarizes the Company's related party balances with Canro Re segregated account 2020-01 as of December 31, 2024 and 2023:

| | 2024 | 2023 |
|---|---|---|
| **ASSETS** | | |
| Reinsurance recoverable on unpaid losses | $ 103,223 | $ 121,415 |
| | | |
| **LIABILITIES** | | |
| Insurance and reinsurance balances payable | 36,595 | 39,835 |

The following table summarizes our related party transactions with Canro Re for the years ended December 31, 2024 and 2023:

| | 2024 | 2023 |
|---|---|---|
| **REVENUES** | | |
| Earned premiums ceded | $ (38,749) | $ (32,663) |
| | | |
| **LOSSES AND EXPENSES** | | |
| Net incurred losses and loss adjustment expenses | 3,277 | (20,477) |

**16. Subsequent Events**

The Company has completed its subsequent events evaluation for the period subsequent to the balance sheet date of December 31, 2024 through March 12, 2025, the date the financial statements were available to be issued, and concluded that there were no subsequent events requiring recognition or disclosure.